

MEC - 110 MONEY FINANCIAL INSTITUTIONS & MARKETS



Money, Financial Institutions and Markets

(Volume-2)

School of Social Sciences
Indira Gandhi National Open University
New Delhi

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COURSE INTRODUCTION

MEC 110: Money, Financial Institutions and Markets

The structure of MA Economics programme has been spread over four semesters. In each of the first three semesters, three courses (in the multiple of six or eight credits) have been included in a well thought manner. The two courses i.e., Micro Economic Analysis (MEC-101) and Macro Economic Analysis (MEC-102) provide the theoretical foundation and the knowledge of mathematical and statistical tools in MEC 203, enabling to understand micro and macro theories in analytical manner. Another set of three courses included in semester two lead to further insight into the area of growth and development. The knowledge of economic theory both in micro and macro domain and insight into growth and development prepare the foundation for entering the empirical part and take up the various components of Indian economics policy (MEC-205). Knowledge of theoretical and applied part of economics make a solid ground for making in-depth study of various economic events, developments and situations. However, before taking up in-depth study, the knowledge of conceptual foundation, tools and techniques of research methodology is required. These have been provided in the course Research Methods in Economics (MEC 109).

Having the knowledge of core courses in the first and the second semesters, with the intention to have knowledge of area specific core courses, another set of three courses viz., Public Economics (MEC-106) International Trade and Development (MEC-107) and Money, Financial Institutions and Markets (MEC 110) have been introduced in the third semester.

We have covered issues related to monetary policy in macro-economic analysis, yet the various topics related to monetary economics such as functions of money and its relation and interaction with financial institutions and markets could not be covered, which are otherwise essential to have insight into the functioning of various kinds of markets in the economy. Hence, MEC 110 course as an extension of macro dimension of economics has been included in this semester.

In order to comprehend this course in a meaningful manner, students should have a clear idea of the conceptual foundations and functioning of the financial system. In this process, it is necessary to understand the role and functions of money, and the transmission mechanism of monetary policy.

This course is extremely relevant because money, financial institutions, and markets form the cornerstone of modern economies. They serve as the channels through which resources are allocated, transactions are facilitated, and economic prosperity is achieved. Their roles are multifaceted and intertwined, shaping the economic landscape and impacting the lives of individuals, businesses, and societies around the globe. Thus, understanding functions of money, financial institutions, and markets, interactions, and implications is essential for policymakers, economists, investors, and citizens alike, helping them to navigate the complexities of the financial system.

The course discusses how capital flows through the economy and how financial intermediaries play a crucial role in channelling funds between surplus and deficit units in the economy. It deliberates upon the roles, functions, and regulatory frameworks of money markets, capital markets, bond markets, and derivatives. It also provides insights into market dynamics, participant behaviour, and factors driving asset valuations. The

course also delves into functioning of Commercial banks, non-bank financial intermediaries, and regulatory bodies which form the backbone of the financial system and play an important role in maintaining economic stability. Further, it equips with the understanding of 'Efficient Portfolio Frontier' and asset pricing theories which are essential for investors seeking to optimize returns and manage risk. To understand the challenges and complexities of maintaining a stable financial system, this course also presents the comprehensive understanding of non-performing assets, foreign exchange stability, and behavioural finance.

This course is divided into eight blocks. Each block is interconnected. The structure of the course is as follows:

Block 5 entitled **Financial Institutions**, we have discussed how financial institutions form the backbone of the financial system and channelise funds between savers and investors. There are four units in this block. It explores the roles of commercial banks, non-bank financial intermediaries, regulatory bodies such as SEBI, and other institutions that shape the landscape of finance.

Block 6: Operational Aspects of Financial Markets has six units. This block delves into risk-return analysis, the Capital Asset Pricing Model (CAPM), the Arbitrage Pricing Theory (APT). The block also presents various models of derivative pricing. It also discusses corporate finance principles, and the dynamics of foreign investment.

Block 7 throws light on various aspects of **Financial Stability**. It includes six units. Financial stability is paramount for sustainable economic growth, and this final block examines its connection with business cycles, market efficiency, non-performing assets, foreign exchange stability, and behavioural finance. It provides insights into the challenges and complexities of maintaining a stable financial system.

Block 5

Financial Institutions

Unit 14	Commercial Banking
Unit 15	Non-Bank Financial Intermediaries
Unit 16	SEBI
Unit 17	Other Financial Institutions and Regulations

UNIT 14 COMMERCIAL BANKING

Structure

- 14.0 Objectives
- 14.1 Introduction
- 14.2 Meaning and Role of Commercial Banks in Economic Development
 - 14.2.1 What is a Commercial Bank?
 - 14.2.2 Importance and Role of Commercial Banks in Economic Development
- 14.3 Functions of Commercial Banks
 - 14.3.1 Banking Functions
 - 14.3.2 Non-banking Functions
- 14.4 Structure of Commercial Banks
 - 14.4.1 Retail Banking versus Corporate Banking
 - 14.4.2 Universal Banking
 - 14.4.3 Differentiated Banking
- 14.5 Creation of Credit/Deposits
 - 14.5.1 Limits to Credit Creation
- 14.6 Principles Governing Distribution of Assets of Commercial Banks
 - 14.6.1 Liquidity versus Profitability of Assets
- 14.7 Recent Trends and Performance of the Banking Industry in India
- 14.8 Let Us Sum Up
- 14.9 Key Words
- 14.10 Some Useful Books
- 14.11 Answers/Hints to Check your Progress Exercises
- 14.12 Terminal Questions

14.0 OBJECTIVES

After going through this unit, you will be able to:

- define a Commercial Bank and describe its functions;
- illustrate the process of creation of credit by Commercial Banks;
- indicate limits to credit creation;
- highlight the role of the banking system in economic development; and
- Identify the trend and analyze the factors driving growth in the banking industry in India,

14.1 INTRODUCTION

As discussed in Unit 2, Financial intermediaries (FIs) refer to those institutions that serve the money and capital markets. They act as middlemen between lenders and borrowers, creating and issuing financial obligations of claims against themselves to acquire profitable financial claims against others. A chief function of an intermediary is to provide liquidity. FIs can be broadly classified into (1) commercial banks, and (2) non-banking financial institutions (NBFIs). Commercial Banks are the dominant financial intermediaries. Bank deposits form the dominant portion of the financial savings of the household sector, and bank credit is the most important source of external finance. Commercial Banks can be distinguished from other financial intermediaries in terms of the special power to issue liabilities that are accepted as a means of payment. Commercial banks play an important role in the economic development of any country. In this unit, you will learn about the Commercial banks, the functions of commercial banks, the method of credit creation by commercial banks, and the role of Commercial banks in the economic development of a country. This unit will also discuss some recent trends in banking sector in India.

14.2 MEANING AND ROLE OF COMMERCIAL BANKS IN ECONOMIC DEVELOPMENT

14.2.1 What is a Commercial Bank?

The term '*Bank*' has been defined differently by different economists. A Commercial bank is a profit-seeking institution which pays interest at a low rate to the depositors and charges a higher rate of interest from the borrowers and in this way, the bank earns a profit. Commercial Banks are *dealers in debt*, and this more aptly describes their activities. A deposit is a debt which the commercial bank owes to the depositor; a banknote is a sort of promissory note — an acknowledgement of the issuing bank's debt to whomsoever may be the bearer of it; using loans and overdrafts' a bank creates debts to itself. All Commercial banks deal in money and credit instruments. In the words of *Paul Samuelson*, "The primary economic function of commercial banks is to hold demand deposits and honour cheques drawn on them — in short, to provide us, the economy with the most important component of our money supply. It is to be noted that banking is a business like any other business. A Commercial bank is a relatively simpler business concern. It provides certain services for customers (depositors and borrowers) and in return receives payment from them in one form or another. It tries to earn a profit". *Acceptance of chequeable deposits from the public is only a necessary, but not a sufficient, function of a bank.* It must also lend to others.

It is difficult to define the term '*bank*' as the concept itself is rapidly changing given changes in social-economic conditions, government policies, priorities etc. For example: We see the new trends of digital banks, neo

banks, post payments banks, small finance banks etc. emerging in the country. We will discuss about them briefly in Section 14.7. Thus, one can say that a bank is a financial institution that deals in debts and credits. It accepts deposits, lends money and creates money. It bridges the gap between the savers and borrowers. As *R S Sayers* has emphasised, “banks are not merely purveyors of money but also in an important sense manufacturer of money”. From the above, it can be deduced that the bank is a financial institution.

14.2.2 Importance and Role of Commercial Banks in Economic Development

Commercial Banks have always played an important role in the country's economy. They play a decisive role in the development of the industry and trade. They act not only as the custodians of the wealth of the country but also as a resource of the country, which is necessary for the economic development of a nation. Their presence is helpful to the economic activity and industrial progress of a country. Commercial Banks satisfy the financial needs of the sectors of the economy as well as all sections of the society. That means they play a very significant role in economic and social needs. The relationship between financial development and economic growth is a complex phenomenon. Finance contributes to economic growth *in the sense that it increases the volume of investment and improves resource allocation*. Whatever may have been its origin, a bank deposit serves as money, and therefore, besides representing so much purchasing power, it acquires importance because of its dynamic function of influencing the level of economic activity. Consequently, the creation of deposits by banks is a matter of vital concern to modern governments, in their efforts to achieve their economic objectives.

A well-developed banking system is an essential pre-condition to the effective implementation of monetary policy. Thus, a fine, efficient and comprehensive banking system is a crucial factor in the developmental process. Commercial Banks not only relieve the public of anxiety and risk of safeguarding their surplus income but also provide facilities for savings and investment. They are useful in promoting banking habits among the people, discouraging unprofitable locking up of the community's wealth and reducing idle capital of the community. Commercial Banks in turn supply idle funds of the community to businessmen, industrialists and entrepreneurs who require funds for running and developing their businesses and industry. Commercial banks play an important role in the promotion of financial inclusion which is a pre-requisite of inclusive growth. *In short*, Commercial banks play an important and dynamic role in the economic life of every modern state. The economic importance of commercial banks may be viewed as follows:

- a) Promoting capital formation;
- b) Encouraging innovation;

- c) Influencing economic activity;
- d) Promoter of financial inclusion; and
- e) Facilitator of monetary policy.

The boundary which demarcates the operations of commercial banks and the Financial intermediaries (Fis) is eliminated, they are allowed to move towards universal banking and they are helped to cope with the recent changes.

In the field of *international business*, commercial banks offer services such as trade finance, project finance, payroll, foreign exchange transactions and trading, lock boxes for collecting payments and general corporate finance. Without commercial banks, the international finance and import-export industry would not have grown to the level it has today. The global nature of commercial banking also makes it possible to distribute valuable economic and business information among customers and the capital markets of all countries. Commercial banking also serves as a worldwide barometer of economic health and business trends.

14.3 FUNCTIONS OF COMERCIAL BANKS

Commercial banks being financial institutions perform diverse types of functions. These functions may be broadly divided into *banking functions* and *non-banking functions*.

14.3.1 Banking Functions

- A) *Exchanging money claims*: Exchange of money claims includes acceptance of deposits, giving loans and advances, discounting bills of exchange, and transferring money from one place to another.
 - 1) *Accepting Deposits*: Deposits differ from one another in respect of facilities for withdrawal and rate of interest. People make their choices from various kinds of deposits based on the requirements of their families and businesses. These deposits may be in the form of: (i) saving bank deposits, (ii) current deposits, (iii) recurring/cumulative deposits, and (iv) fixed deposits.
 - 2) *Loans and Advances*: The most important banking function, therefore, is the creation of credit. It is this function which distinguishes banks from other financial institutions. Commercial banks use the deposits of their customers as a source of lending assets. Advances may be made to clients through the loan system or overdraft system. The former is simpler. An amount is placed to the credit of the borrower who can withdraw the whole or a part of it as and when he likes. But for the period that the loan is not repaid, he pays interest on the whole sum, whether he makes use of it or not. An overdraft facility, on the other hand, means allowing a

client to draw cheques over the amount standing to his credit. Interest payable to the bank is only on the amount utilized.

- 3) *Discounting Bills of Exchange*: Discounting a bill of exchange is, technically speaking, purchasing a future claim of money. In essence, however, it means advancing a loan against a promise of repayment in future. An essential difference between advancing a loan and discounting a bill of exchange is that in the case of the latter, the bank is certain that money is used for genuine trade purposes.
- 4) *Transfer of Money*: Money may be transferred from one place to another by a bank draft or advice of a cheque. Now a days large sums of money are being transferred through NEFT (National Electronic Fund Transfer)/RTGS (Real Time Gross Settlement).

All the above banking functions can be summed up in a single function, viz. *that banks exchange money claims*. The most important banking function is the creation of credit. It is this function which distinguishes banks from other financial institutions. The basic economic function of bank intermediation can be summarized as follows:

- 1) *Liability-Asset transformation* i.e., accepting deposits as a liability and converting them into assets such as loans;
- 2) *Size transformation* i.e., providing large loans based on numerous small deposits;
- 3) *Maturity transformation* i.e., offering savers alternate forms of deposits according to their liquidity preferences while providing borrowers with loans of desired maturities; and
- 4) *Risk transformation* i.e., distributing risk through diversification would prevail while lending directly in the absence of financial transformation.
- 5) The functions performed by banks are changing with the changing scenario and recently they are widening their functions and becoming customer-centric.

14.3.2 Non-banking Functions

These are the services which banks render to their clients not as banks, but as profit-seeking firms. These functions, therefore, do not fall within the purview of banking proper. Thus, banks may undertake:

- i) Collection of cheques, drafts, bills, *hundis*, and other instruments (inland and foreign) for their depositors;
- ii) Issue of performance and financial guarantees;
- iii) Provision of remittance facilities by issue of drafts, mail transfers etc.

- iv) Provision of facilities of safe custody of deeds and securities and safe deposit vaults;
- v) Purchase and sale of securities for their constituents;
- vi) Provision of special investment services as underwriters and bankers for new issues of securities to the public. In selected cases, banks also arrange for the private placement of securities;
- vii) Acting as executors and trustees;
- viii) Rendering of agency services of various kinds such as sale of foreign exchange, acceptance of income-tax payment, etc.;
- ix) Miscellaneous services such as the issue of traveler's cheques, gift cheques, provision of tax assistance and investment advice, references, business and statistical information etc. They also provide a wide variety of loans and offer other credit vehicles like cards and overdrafts. However, the common theme among these activities is that they are aimed at providing a financial service to an individual or business.

In short, they may undertake to be 'watchmen' of valuables, executants of wills and administrators of family trusts. Banks are said to be department stores of financial services as they render a wide variety of such services to their customers. The range of these services differs from bank to bank, depending mainly on the size and type of banks. Most of us interact with commercial banks every day, whether it is a debit card purchase, an online payment or a loan application. Beyond providing these basic services, commercial banks are in the business of capital allocation for profit – also known as investing. Today, commercial banks can invest in securities and even in issues that they help make public. A commercial bank needs to provide good service to its customers and good returns to its investors to continue to be successful.

Check Your Progress 1

- 1) What is a Commercial Bank? How are banks characterised as dealers in debt?

.....

- 2) "Financial intermediaries (FIs) serve the money and capital markets". Explain.

.....

- 3) List any five important functions of a Commercial Bank.

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14.4 STRUCTURE OF COMMERCIAL BANKS

The structure of commercial banking varies from country to country. Banking structure is influenced by several factors such as traditions, economic conditions, political situation, public attitude, government factors and topographical conditions. Different banking systems came into existence with the development of banking in the world. *Important among them are branch banking, unit banking, group banking and chain banking.*

Commercial banks may be either of the **branch-banking** type, such as the commercial banks in India, under which case each bank has several branches spread all over the country, or the **unit-banking** type, which originated in the U.S.A., where each bank's operations are confined to a single office. **Group banking** consists of the ownership and operation of two or more banks directly or indirectly by a corporation. The group is organised around a key bank which in turn is controlled by a holding company. This banking system enjoys the advantages of both branch banking and unit banking. However, it suffers from certain handicaps like direct control over the constituents, difficulty of supervision and control and influence of failure of one member on the other. **Chain banking** is another form of group banking. It is similar to group banking. Chain banking refers to a system where two or more banks are controlled by a single person or group of persons through stock ownership or otherwise. Thus, there is a less formal arrangement than group banking. This system was developed in the USA to overcome the drawbacks of the unit's banking system. This banking system also enjoys the advantages of both a branch system and a unit banking system.

14.4.1 Retail Banking versus Corporate Banking

Retail banking refers to the division of a bank that deals directly with retail customers. Also known as consumer banking or personal banking, retail banking is the visible face of banking to the general public, with bank branches located in abundance in most major cities. Banks that focus purely on retail clientele are relatively few, and most retail banking is conducted by separate divisions of banks, large and small. Customer deposits garnered by retail banking represent an extremely important source of funding for most banks. **Corporate banking, also known as business banking**, refers to the aspect of banking that deals with corporate customers. The term was originally used in the United States to distinguish it from investment banking after the Glass-Steagall Act of 1933 separated the two activities. While that law was repealed in the 1990s, corporate banking and investment banking services have been offered for many years under the same umbrella

by most banks in the United States and elsewhere. Corporate banking is a key center of profit for most banks; however, as the biggest originator of customer loans, it is also the source of regular write-downs for loans that have soured.

14.4.2 Universal Banking

Universal banking is a system in which banks provide a wide variety of financial services, including commercial and investment services. Universal banks may offer credit, loans, deposits, asset management, investment advisory, payment processing, securities transactions, underwriting and financial analysis. While a universal banking system allows banks to offer a multitude of services, it does not require them to do so. Banks in a universal banking system may still choose to specialize in a subset of banking services. Universal banking combines the services of a commercial bank and an investment bank, providing all services from within one entity. The services can include deposit accounts, and a variety of investment services and may provide insurance services. Under this system, banks can choose to participate in any or all of the permitted activities. They are expected to comply with all guidelines that govern or direct proper management of assets and transactions. Since not all institutions participate in the same activities, the regulations in play may vary from one institution to another. It is important not to confuse the term '*universal bank*' with any financial institutions with similar names.

Proponents of universal banking argue that it helps banks diversify risk in a better manner. They facilitate the possibility of lowered costs because of the economies of scale. Costs would drop because of the larger volume of investment for a given level of overhead on investment. The underlying logic for this is that the cost of offering various activities by different units is greater than when they are offered together. The economies of scale and scope are expected to help the entity deal better with business cycles. A shift in the business cycle is expected to alter the demand for products. *Multi-product firms are, therefore, inherently better placed to handle changes in the type of product demanded.* The move towards universal banking is not without concern on the regulatory front. *The advent of universal banks simultaneously increases the risk to the system in case of a failure.* Another argument often advanced to oppose the move to consolidate is that the size of the universal banks provides them with an opportunity to have monopoly, by resorting to *predatory pricing competition from small players which offer specialised services.*

14.4.3 Differentiated Banking

Differentiated banks are distinct from universal banks as they function in a niche segment. The differentiation could be on account of capital requirement, scope of activities or area of operations. As such, they offer a limited range of services / products or function under a different regulatory

dispensation. The concept is not entirely new. In fact, and in a sense, the Urban Cooperative Banks (UCBs), the Primary Agricultural Credit Societies (PACS), the Regional Rural Banks (RRBs), Local Area Banks (LABs), Small Finance Banks (SFBs), and Payments Banks could be considered as differentiated banks as they operate in localized areas and provide banking services to underserved segments of the economy/society.

Reserve Bank of India set up of a committee headed by Shri Nachiket Mor, on Comprehensive Financial Services for Small Businesses and Low-Income Households to look into the issues relating to financial inclusion. The committee came up with two broad designs for the banking system in the country - the Horizontally Differentiated Banking System (HDBS) and the Vertically Differentiated Banking System (VDBS) based on the functional building blocks of payments, deposits and credit.

In a HDBS design, the basic design element remains a full-service bank that combines all three building blocks of payments, deposits, and credit but is differentiated primarily on the dimension of size or geography or sectoral focus. In a VDBS design, the full-service bank is replaced by banks that specialise in one or more of the building blocks of payments, deposits, and credit. Among others, the Committee suggested licensing of Payments Bank and wholesale banks as differentiated banks.

Check Your Progress 2

- 1) “Banks promote savings and help to convert hoardings into investment”. Amplify.
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.....
.....
- 2) Write a note on the structure of commercial banks.
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.....
.....
- 3) What is Commercial Universal banking? Why are they popular these days?
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.....
.....
- 4) What is differentiated banking?
.....
.....
.....

14.5 CREATION OF CREDIT/DEPOSITS

Credit creation is the most significant function of commercial banks. The essential feature of commercial banking is the lending of more cash than the amount held by the bank. Loans to customers form a bank's most profitable activity, but the urge to expand this side of its business to increase its profits is tempered by its obligation to pay cash on demand. However, most borrowers do not require actual cash, although a proportion of loans will be wanted in the form of cash, for example, for the payment of wages. Expanding loans will, therefore, to some extent increase the demand for cash. This is a fact that a banker must always bear in mind when it is considering whether to increase his lending.

Banks create money by creating deposits. There are two kinds of deposits: *actual deposits and created deposits*. When a man puts a certain sum of money into his account, we call it an actual/primary deposit. When a bank gives a loan to a person an account is opened in his name and he is credited with the amount of the loan. It is sometimes said that every loan creates a deposit. Hence, if banking habits are well developed the money lent out by a bank will find its way into some deposit account in the banking system. One can, therefore, say that *every loan creates a deposit*.

Whether a bank lends by overdraft or using a loan account, the result is the same, it *increases the total volume of purchasing power, that is, the quantity of money*. Banks can also create deposits by purchasing Government stock, which is simply a method by which banks lend to the Government. The bank pays for such purchases by cheques drawn on itself, and the payees of these cheques pay them into their banking accounts, and so again the banks create deposits. *Thus, bank deposits are mainly created by the banks themselves*. This power of the banks to expand credit is of enormous economic significance, for bank deposits are a form of purchasing power which can be used for the purchase of goods and services irrespective of how they have been created. *The total quantity of money therefore depends largely on the credit policy of the banks*. The banking system as a whole is responsible for the creation of a very large proportion of the deposits of the various banks.

According to some writers, commercial banks cannot create money, they only lend the un-withdrawn part of their customer's deposits. This view is right in so far as a single bank is concerned. However, the banking system as a whole can create money. In this connection, it may be pinpointed that while no individual bank can create deposits more than its excess reserves (here 9/10 of the new deposits), the banking system as a whole however can create ten times the initial deposit. *Money Multiplier or Deposit multiplier* measures the amount of money that the Banks can create in the form of deposits with every unit of money they keep as reserves. It is calculated in the following equation:

$$\Delta d = \frac{\Delta a}{r}$$

Where:

Δd = increase in deposits for the whole banking system

Δa = increase in initial deposit

r = required reserve (cash) ratio

The percentage of deposits which a bank keeps in the form of cash is called the *cash reserve ratio*. The process described above takes place in the banking system as a whole. The total of bank deposits is at present many times as great as the total amount of cash in existence in the country, whether in the hands of the public or the tills of banks, so clearly the banks together must have expanded the volume of deposits without an equivalent amount of cash having been deposited with them.

14.5.1 Limits to Credit Creation

The supply of money depends largely on the lending policy of the banks, but their power to create credit is restricted. They do not have unlimited power to create deposits, their ability to do so is restricted in several ways:

- i) *The Clearing House Imposes a Restriction* on an Individual Bank: A single bank cannot adopt an expansionist credit policy unless the other banks are willing to do the same. In other words, the banks should keep their credit policy in line with one another, expanding or contracting credit together.
- ii) *The Liquidity Ratio*: A banker knows from experience what proportion of his assets to keep in liquid form, but they must be able to convert their other assets into cash if circumstances require it without undue delay and if possible, without loss. Thus, a banker's main concern is with the liquidity of their assets. This limits the extent of their willingness to lend and the amount of investment it is prepared to undertake, for the banker must maintain certain liquidity rules.
- iii) *The amount of cash in existence*: The supply of cash or legal tender money is not unlimited. The government and the central bank determine the quantity of legal tender money available in the country. The bank's power of creation of credit is limited by this quantity.
- iv) *The amount of cash people prefers to hold*: The monetary habits of the people constitute a limiting factor. If people do not put money in deposits in the banks but keep their cash themselves in a liquid form, bank deposits cannot grow and banks cannot create money. Increasing confidence in banking and greater use of cheques has reduced the demand for cash.
- v) *The Collateral Security Available*: Before a commercial bank grants a loan, it wants to know the purpose and length of time for which it is

required and how it is to be repaid. In addition, the borrower will probably be asked to give the bank some kind of collateral security which the bank can turn into cash if the loan is not repaid within the stipulated time. It is, however, an important banking recipe that the first consideration in such cases is the character of the borrower, for the banker prefers a loan to be repaid and for the collateral security to be at his disposal only in an emergency. The more liquid the security – that is, the greater the ease with which it can be turned into cash without loss – the more acceptable it is to the bank. The amount of security available may tend to limit bank lending.

- vi) *State of the Economy*: Banks can create money only by lending money and this depends on the state of the economy. Money is borrowed when there are opportunities to use it in new ventures. When business conditions are depressed, loans are not taken and banks cannot create money. Thus, one finds that the extent to which banks can at any time create credit depends on the general state of confidence.
- vii) *Monetary Policy of the Central Bank*: The final restriction on the creation of credit by commercial banks comes from the monetary authorities. The central bank of a country can, in various ways, control the volume of loans given by banks. The most important control over the expansion of bank credit, however, comes from the monetary system.

Crowther observes that “the bank does not create money out of thin air; it transmutes other forms of wealth into money”. The total volume of income-yielding securities available in the country sets the overall limit to the process of credit creation. But the need for keeping a cash reserve, however, small it may be, restricts the power of the bank to ‘create’ money *ad lib*. ‘Creating’ money involves an increase in the bank’s deposit liabilities, and the bank cannot afford to let its cash reserve fall below 10 per cent of its total deposit liabilities.

14.6 PRINCIPLES GOVERNING DISTRIBUTION OF ASSETS OF COMMERCIAL BANKS

A banker is torn between two conflicting motives; on the one hand, it would like to expand its loans to make more profit, and on the other, it is anxious to hold sufficient cash so that it can at all times fulfil its obligation to pay cash on demand. A banker, too, must be able to turn its assets into cash without loss if it is to satisfy the claims of its depositors on him in full. Cash is an asset that yields it no income, and so it does not wish to hold an unnecessarily large amount of it, so it will ‘*minimise*’ its cash holdings. A banker must always be prepared, if necessary, to meet abnormal demands for cash, and so it must hold assets in fairly liquid form which in an emergency can easily be turned into cash. The liquidity of its assets is therefore a banker’s primary

concern, and the *distribution of assets represents a compromise between its desire for profit and its desire for liquidity*, for the more profitable an asset the less liquid it is likely to be. The more liquid assets of clearing banks comprise the first four items in a bank's balance sheet: (i) notes and coins, (ii) balances with the Central Bank i.e. Reserve Bank of India, (iii) bills, and (iv) market loans — all of which can be turned into cash quickly with little if any, financial loss. One aspect of liquidity is the '*shift-ability*' of the asset that is, the ease with which it can be passed on to some other institutions, such as the central bank. Most bank assets are shiftable in varying degrees, except those advances which are supposed to be supported simply by the good name of the borrower.

14.6.1 Liquidity versus Profitability of Assets

A bank must conduct its affairs to maintain adequate liquidity. The aim of every bank is not only to cover its expenses but also to make maximum profit. It endeavours to keep its assets in such forms as to yield maximum income. *There is a clash between the objectives of liquidity and profitability.* The most liquid of all assets is money itself. If a bank were to attend exclusively to the objective of maintaining liquidity, it would keep all its assets in the form of money. But money is the most barren of all investments because it does not yield any income whatsoever. On the other hand, if the bank were to keep its assets in the form of long-term loans, income from the assets would be high, but liquidity would be very low. *Liquidity and income-yielding capacity are the two opposite criteria for every bank based on which it has to decide the nature of its assets.* The more liquid the assets, the less income-yielding they will be, and *vice versa*. *The secret of success for a bank lies in striking a sound balance between liquidity and profitability.* Every bank divides its assets into forms of various degrees of liquidity and profitability. Some of its assets are kept in the form of cash which is very liquid, though non-income yielding, some assets take the form of property which is of low liquidity but yields good income. In between the two, lies other assets with different degrees of liquidity and income-yielding capacity.

The traditional concept of liquidity has been replaced by the concept of *shift-ability*. The shift-ability concept has a much wider breadth and shift-ability has made possible the flow of bank credit amongst a larger number of borrowers and for longer dates without much impairing the security of lending. In recent years the concept of liquidity has undergone further changes. The term loans are liquidated by the *anticipated income of the borrower*. In the case of the anticipated income concept, the borrower has to save and repay their loans out of earnings. This concept has the advantage of financing durable consumer goods because loans made for the purchase of durable consumer goods cannot be repaid by sale nor can they be shifted to the open market or the central bank. These loans can be later repaid out of the expected income of the borrower.

14.7 RECENT TRENDS AND PERFORMANCE OF BANKING INDUSTRY IN INDIA

Over the years, the Indian banking industry has experienced an upward trajectory majorly supported by strong economic growth, rising disposable incomes and easier access to credit. The last few years have seen fast growth in digital modes of payments which has also supported the growth of the Indian banking industry.

As of April 2024, there were 581 banks actively using UPI. The total number of digital transactions during this period amounted to 15.08 billion, with a total value of US\$ 25.27 billion (Rs. 2.1 trillion).

In recent years, India has also experienced a rise in fintech and microfinancing. India's digital lending stood at US\$ 75 billion in FY18 and is estimated to reach US\$ 1 trillion by FY23 driven by the five-fold increase in digital disbursements. The Indian fintech market has attracted US\$ 29 billion in funding over 2,084 deals so far (January 2017-July 2022), accounting for 14% of global funding and ranking second in terms of deal volume. By 2025, India's fintech market is expected to reach Rs 6.2 trillion (US\$ 83.48 billion). According to the Reserve Bank of India (RBI), India's banking sector is sufficiently capitalised and well-regulated.

In past decade, the Indian banking industry has rolled out various innovative models. One of them is Small Finance Banks (SFB) like Ujjivan Small Finance Bank, AU Small Finance Bank etc. RBI granted licenses to Small Finance Banks in 2015 and since then, they have come a long way in providing banking services to the masses. In subsequent years, RBI has granted two additional SFB licenses taking the total SFBs in the country to 12. Out of these Fincare, Small Finance Bank Limited ("Fincare SFB") has merged with and into AU Small Finance Bank Limited ("AU SFB"), effective 1st April 2024. Thus, total number of SFBs is now 11. SFB has emerged as a new category of banks in India that cater primarily to the financially unserved and under-served sections of society. These banks provide basic banking services to unbanked and under-banked populations thus supporting financial inclusion. Small Finance Banks are likely to play a significant role in the future of banking in India because of their approach of reaching the unreached by extending credit to small businesses, micro-enterprises, and low-income households. SFBs are different from Commercial banks in terms of their capital requirement, services offered, loan products and target customers. Unlike Commercial banks, SFBs offer basic banking services only and have a minimum capital requirement of ₹ 200 crores as against the capital requirement of ₹ 500 crore in the case of a commercial bank.

Payments Banks is another model of commercial banking in India. However, it differs from regular banking as the Payments banks are neither allowed to

lend money or issue credit cards to their customers. At present 4 Payments banks are working in the country.

Another innovative banking model is neo-banking. Neobanks are digital-only banking platforms that operate only online. Thus, they do not have a physical presence. Sometimes, transactions in traditional banks could require a lot of time and effort. Neobanks provides a seamless online experience where customers can create accounts by themselves and use their offerings hassle-free. Since RBI does not permit fully digital banking establishments yet, neobanks in the country use partnerships with physical banks to deliver some of their key services.

In the past decade, India has also focused on increasing its banking sector reach, through various schemes like the Pradhan Mantri Jan Dhan Yojana and India Post payment banks. India Post Payments Bank (IPPB) is an accessible, affordable and reliable bank for the common man. With the help of just an Aadhaar Card, any person in a village can avail of banking facilities provided by IPPB by requesting the same from the local Postman/Gramin Dak Sevak. Schemes like these coupled with major banking sector reforms like digital payments, neo-banking, a rise of Indian NBFCs and fintech have significantly enhanced India's financial inclusion and supported the credit cycle in the country. The digital payments system in India has evolved the most among 25 countries with India's Immediate Payment Service (IMPS) being the only system at level five in the Faster Payments Innovation Index (FPII). India's Unified Payments Interface (UPI) has also revolutionized real-time payments and has strived to increase its global reach in recent years.

Trend and Performance of Commercial Banks since 2020-21

During 2020-21, scheduled commercial banks (SCBs) reported a discernible improvement in their asset quality, capital buffers and profitability, notwithstanding the disruptions of the pandemic. While credit offtake remained subdued, elevated deposit growth on the liabilities side was matched by growth in investments on the assets side.

The Indian banking sector remained resilient in 2021-22 and 2022-23 so far, as banks witnessed healthy balance sheet growth on a broad-based acceleration in credit. Deposit growth moderated from the COVID-19-induced precautionary surge. Augmented capital buffers, better asset quality and enhanced profitability indicators reflected their robustness.

Reserve Bank of India, on June 27, 2024 released the 29th issue of the Financial Stability Report (FSR), which reflects the collective assessment of the Sub-Committee of the Financial Stability and Development Council (FSDC) on the resilience of the Indian financial system and risks to financial stability.

Highlights of the report are as follows:

- The global economy is facing heightened risks from prolonged geopolitical tensions, elevated public debt, and the slow progress in the last mile of disinflation. Despite these challenges, the global financial system has remained resilient, and financial conditions stable.
- The Indian economy and the financial system remain robust and resilient, anchored by macroeconomic and financial stability. With improved balance sheets, banks and financial institutions are supporting economic activity through sustained credit expansion.
- The capital to risk-weighted assets ratio (CRAR) and the common equity tier 1 (CET1) ratio of scheduled commercial banks (SCBs) stood at 16.8 per cent and 13.9 per cent, respectively, at end-March 2024.
- SCBs' gross non-performing assets (GNPA) ratio fell to a multi-year low of 2.8 per cent and the net non-performing assets (NNPA) ratio to 0.6 per cent at end-March 2024.
- Macro stress tests for credit risk reveal that SCBs would be able to comply with minimum capital requirements, with the system-level CRAR in March 2025 projected at 16.1 per cent, 14.4 per cent and 13.0 per cent, respectively, under baseline, medium and severe stress scenarios. These scenarios are stringent conservative assessments under hypothetical shocks and the results should not be interpreted as forecasts.
- Non-banking financial companies (NBFCs) remain healthy, with CRAR at 26.6 per cent, GNPA ratio at 4.0 per cent and return on assets (RoA) at 3.3 per cent, respectively, at end-March 2024.

Check Your Progress 3

- 1) Discuss some recent trends experienced in the Banking sector in India.
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- 2) What are the limitations on banks in credit creation?
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- 3) Why is there a clash between liquidity and profitability? What is the concept of shift-ability?
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14.8 LET US SUM UP

Financial intermediaries like banks are unique and specialize in performing functions such as (a) mobilizing savings and channelling them to the most productive users, and (b) acting as efficient conduits for payments.

Banks perform a large variety of functions. The main banking services are: Acceptance of money on deposit from the public broadly speaking, these deposits are of three main types viz., current, savings and fixed, which can be reclassified under two main heads of demand and time deposits. Commercial banks lend money, process payments, issue bank drafts and checks, and offer safety deposit boxes for items and documents. Commercial Banks provide *Grant of credit* to all sectors of the economy, and not merely to trade and commerce. This is done in various forms such as loans and advances, discounting of bills, and investment in open-market securities.

Modern commercial banking is based on a system of fractional reserves. This is why banks all over the world keep only a small portion of the deposits in liquid form. The balance is invested and it is in this way, through the making of loans and the purchase of securities, that profits are made.

The creation of credit is a major function of a commercial bank. When a bank advances loans, there tends to be a multiple expansion of credit in the banking system. Primary deposits serve as a basis for creating derivative deposits, that is, credit creation, and for increasing the money supply. However, there are various limitations to the ability of banks to create credit. The more liquid assets comprise cash, money at *call and short notice and bills*. The banks must strike a careful balance between their obligation to their customers and the requirements of their shareholders.

Bankers are to strike a balance between two conflicting objectives. The distribution of bank assets is the result of a compromise between (a) the necessity always to be able to pay cash on demand, and (b) the desire for profit. The more liquid the asset, the less profit it will generally yield to the bank. Cash is the most liquid asset – earning no profit at all.

Banks not only encourage savings but also constitute the agency through which even small sums saved by individuals find their way to profitable investments. *Banks channelise funds according to priorities*. They are, therefore, in a special position to encourage those industries that are high up on the list of priorities. The more *capital formation* the faster the economic advancement of the country.

Over the years, the Indian banking industry has experienced an upward trajectory majorly supported by strong economic growth, rising disposable incomes and easier access to credit. In past decade, banking sector in India has rolled out various innovative models surrounding, digital payments, neo-banking, Small Finance Banks (SFB) etc. These developments are poised to take India's financial system to newer heights.

14.9 KEY WORDS

Banks	: Financial institutions that accept deposits and make loans.
Bill of exchange (or draft)	: A negotiable instrument with three parties to the agreement the drawer of the order, the drawee, who is ordered to make payment, and the payee. For instance, a commercial bank cheque is a draft on the bank by the depositor payable to a designated payee.
Cash reserve ratio (CRR)	: The fraction of deposits that the RBI requires to be kept as reserves by the banks.
Central Bank	: The Government agency oversees the banking system and is responsible for the amount of money and credit supplied to the economy. In India, the Reserve Bank of India is the Central Bank of the country.
Credit Creation	: The power of the banks to multiply loans and advances through creating deposits.
Derivative Deposits	: These consist of deposits created by the banks in the process of granting credit. The loan sanctions and credited to the accounts of the borrowers create new deposits. Since a derivative deposit is actively created by the bank, it increases the total stock of money available to the community. The creation of derivative deposits is identical to what is commonly known as credit creation by commercial banks.
Differentiated Banking	: A specialised banking identity that serves the underserved segments of the economy/society efficiently.
Liquidity	: The relative ease and speed with which an asset can be converted into cash.
Primary Deposit	: A deposit account opened by a bank by accepting cash from the public.
Vault cash	: Currency that is physically held by banks and stored in vaults overnight.

14.10 SOME USEFUL BOOKS

- Auerbach, Robert D. (1983): *Financial Markets and Institutions*, Macmillan Publishing Co. Inc., New York (Chapter – 18).

- Crowther, Geoffrey (1941): *'An Outline Of Money'*, Thomas Nelson and Sons Ltd., London, UK
- Gupta, Suraj B. (1985): *Monetary Economics; Institutions, Theory and Policy*, S. Chand and Company, New Delhi (Chapter – 5).
- Hubbard, R Glenn (2002): *Money, the Financial System, and the Economy*, Addison Wesley, New York (Chapter 12, 13 and 14).
- Mishkin, Frederic S. (2000): *Financial Markets and Institutions*; Addison Wesley, New York (Chapter 15 & 16).
- Newlyn, W.T. (1971): *Theory of Money*, 2nd edition, Oxford University Press, UK
- Ritter, Lawrence S., William L. Silber, and Gregory F. Udell (2007): *Principles of Money, Banking and Financial Markets*, 12th edition, Pearson, London, UK

14.11 ANSWERS/HINTS TO CHECK YOUR PROGRESS EXERCISES

Check Your Progress 1

- 1) A profit-seeking institution which pays interest at a low rate to the depositors and charges a higher rate of interest to the borrowers and in this way, the bank earns a profit. Banks are dealers in debt- A deposit is a debt which the bank owes to the depositor; a banknote is a sort of promissory note.
- 2) They act as middlemen between lenders and borrowers, creating and issuing financial obligations of claims against themselves to acquire profitable financial claims against others. A chief function of an intermediary is to provide liquidity.
- 3) Accepting Deposits, Liability-Asset transformation, Risk transformation, Discounting Bills of Exchange, Loans and Advances.

Check Your Progress 2

- 1) Retail banking is the visible face of banking to the general public, with bank branches located in abundance in most major cities. **Corporate banking, also known as business banking**, refers to the aspect of banking that deals with corporate customers.
- 2) Refer to Section 14.4
- 3) A system in which banks provide a wide variety of financial services, including commercial and investment services. It combines the services of a commercial bank and an investment bank, providing all services

from within one entity. It helps banks to diversify risk, lower costs, and handle changes in the type of product demanded.

- 4) Refer to Sub-section 14.4.3

Check Your Progress 3

- 1) Refer to Section 14.7
- 2) Banks are dependent on other banks to maintain liquidity ratio, the amount of cash in existence, and the amount of cash people prefer to hold.
- 3) Refer to Sub-section 14.6.1

14.12 TERMINAL QUESTIONS

- 1) Explain the concept of a Bank. What are its functions?
- 2) How do commercial banks create credit? Are there any limitations on the power of the bank to create credit? Give reasons for your answer.
- 3) Examine the conflict between liquidity and profitability. How do banks strike a sound balance between these two?
- 4) Point out the significance of the banking system in promoting the economic development of a country.
- 5) Write a note on recent trends in the banking industry in India.

UNIT 15 NON-BANKING FINANCIAL INSTITUTIONS

Structure

- 15.0 Objectives
- 15.1 Introduction
- 15.2 Concept of Non-Banking Financial Institutions (NBFIs)
 - 15.2.1 Difference between Commercial Banks and NBFIs
- 15.3 Functions and Importance of NBFIs
- 15.4 Size and Structure of NBFIs in India
- 15.5 Non-Banking Financial Companies
 - 15.5.1 Ownership Pattern of NBFCs
 - 15.5.2 Financial Indicators of NBFCs
 - 15.5.3 Regulatory Mechanism for NBFCs
- 15.6 Housing Finance Companies (HFCs)
- 15.7 All India Financial Institutions (AIFIs)
- 15.8 Primary Dealers (PDs)
- 15.9 Issues and Concerns in the NBFIs Sector
- 15.10 Let Us Sum Up
- 15.11 Key Words
- 15.12 Some Useful Books and References
- 15.13 Answers/Hints to Check Your Progress Exercises
- 15.14 Terminal Questions

15.0 OBJECTIVES

Having completed this unit, you will be able to:

- explain the concept of non-banking financial institutions;
- distinguish between banks and NBFIs;
- describe the functions and importance of NBFIs;
- describe different categories of NBFIs-NBFCs, HFCs, AIFIs, PDs;
- analyse the size and working of NBFIs;
- discuss the regulatory mechanism of NBFCs; and
- examine the issues and concerns related to NBFIs.

15.1 INTRODUCTION

We have already discussed the financial system in Block 1. You may recall that it implies a set of complex and closely connected or interlinked financial institutions, agents, practices, markets, transactions, claims, and liabilities in the economy. Non-Banking Financial Institutions (NBFIs) are also a constituent of the institutional structure of the organized financial system in India. They provide liquidity and safety to financial assets and help to transfer funds from ultimate lenders to ultimate borrowers for productive purposes. NBFIs have evolved as an important alternate source of credit in the Indian economy. They complement the mainstream banking system in the process of financial intermediation. They increase capital formation and consequently lead to economic growth.

The NBFI sector is characterised by its heterogeneity. It is heterogeneous in terms of size, business spread and ownership. World over, there is an awakening, after the great financial crisis 2008. This awakening has led to enhanced attention, monitoring and regulation of the non-banking financial sector. The *Financial Stability Board* (FSB) came into existence to address vulnerabilities and to develop and implement strong regulatory, supervisory and other policies in the interest of financial stability. In this unit, you will study the various facets of non-bank financial institutions.

15.2 CONCEPT OF NON-BANKING FINANCIAL INSTITUTIONS (NBFIs)

NBFIs comprise a mixed bag of institutions, ranging from leasing, factoring, and venture capital companies to various contractual savings and institutional investors (pension funds, insurance companies, and mutual funds). These specialised intermediaries leverage on lower transaction costs, financial innovations and regulatory arbitrage. NBFIs facilitate bank-related financial services, such as investment, risk pooling, contractual savings, and market brokering. They provide services not necessarily suited to banks and specialize in sectors or groups.

The world over, non-banking financial entities complement the mainstream banking system in the process of financial intermediation. Regarded as shadow banks by the Financial Stability Board (FSB) –“entities and activities (fully or partially) outside the regular banking system” , these specialised intermediaries leverage on lower transaction costs, financial innovations and regulatory arbitrage. The shadow banking sector in India primarily includes NBFCs and collective investment vehicles such as money market funds, fixed income funds, mixed funds, real estate funds, and securitisation-based credit intermediation like securitisation vehicles and structured finance vehicles.

15.2.1 Difference between Commercial Banks and NBFIs

As we know, a Commercial Bank is an organization that accepts cash deposits from customers and then provides financial services like bank

accounts, loans, share trading accounts, mutual funds, etc. Commercial Banks and NBFIs are very important constituents of the financial system of a country. Despite certain similarities, commercial banks differ from non-bank financial institutions (NBFIs) on the following grounds:

- i) As distinct from commercial and cooperative banks, NBFIs are a heterogeneous category of financial institutions. Commercial Banks form a homogeneous group doing banking business.
- ii) NBFIs cover a wide field of institutions ranging from highly specialised ones such as development banks to simple organisations like mutual saving societies. The NBFIs focus on niche areas of business addressing specific needs of customers. Therefore, the Reserve Bank has classified varieties of specific types of NBFIs separately and regulates each type differently.
- (iii) Usually, commercial banks are confined to only short-term loans in the money market. NBFIs are spread over the entire range of financial markets supplying short, medium and long-term credit. However, now days commercial banks also provide short-term, medium-term and long-term credit to all sectors of the economy as well as all segments of the society.
- (iv) Commercial banks generate multiple expansions of credit. NBFIs only mobilise savings for investment. Commercial banks' credit creation is determined by the availability of excess reserves and the cash reserve ratio. The rate of interest has little significance in this matter. On the other hand, NBFIs' operations and saving mobilisation processes are largely governed by the structure of the rate of interest. NBFIs have to pay high interest to attract more funds. People invest their savings with NBFIs with the economic motive of earning extra income.
- (v) Credit creation activities of the banks involve less time, while the lending activities of the non-bank intermediaries involve longer time.
- (vi) Non-bank intermediaries can influence liquidity and create economic destabilisation in the economy when there are changes in the structure of portfolios held by the NBFIs or when financial claims on the NBFIs are increasing at the cost of banks' demand deposits.
- (vii) The NBFIs can be advantageous due to their ability to lower transaction costs, quick decision-making capabilities, customer orientation and prompt provision of services. In terms of products and services offered, the NBFIs complement the banks.

The distinction between the two has been highlighted by *R. S. Sayers*, by characterising the former as '*creators of credit*', and the latter as mere '*purveyors of credit*'. This distinction arises from the fact that banks, which are part of the payment system, can create deposits and credit but the non-banking institutions, which are not part of the payment system, can lend only out of the resources put at their disposal by the savers. To sum up,

commercial banks and NBFIs both play a significant role in the economy's progress.

15.3 FUNCTIONS AND IMPORTANCE OF NBFIs

NBFIs provide some or all of the following core financial services. These services are often offered in combinations. These functions are:

- a) mobilization of savings,
- b) channelization of funds into investment,
- c) brokers of loanable funds,
- d) stabilize the capital market, and
- e) provide liquidity.

Some financial institutions provide *payment services* by issuing claims that can be used in settling transactions. *Liquidity* is the ease with which an asset's full market value can be realized once a decision to sell has been made. Financial institutions enhance liquidity through specialization and scale. *Divisibility* is the extent to which an asset can be traded in small denominations. Financial institutions break up large denomination (lumpy) claims and aggregate small denomination claims to meet the divisibility preferences of the community. *Providing economies of scale in processing and assessing risks* is an important role of financial institutions. Risk pooling is the extent to which an asset spreads the default risk of the underlying promises by pooling. By pooling assets, financial institutions have much more scope to pool risk in comparison to individuals.

Importance of NBFIs: NBFIs can protect economies from financial shocks. *Alan Greenspan* has identified the role of NBFIs in strengthening an economy, as they provide “multiple alternatives to transform an economy's savings into capital investment (which) act as backup facilities should the primary form of intermediation fail.” NBFIs play a range of roles that are not suitable for banks and through their provision of liquidity, divisibility, informational efficiencies, and risk pooling services, they *broaden the spectrum of risks available to investors*. In this way, they encourage and improve the efficiency of investment and savings. By providing a broader range of financial instruments, they can foster a risk management culture by attracting customers who are least able to bear risks and fill the gaps in financial services that otherwise occur in bank-based financial systems.

The development of financial intermediaries *contributes strongly to economic growth*. That contribution is increased where intermediation is provided through a balanced combination of NBFIs and commercial banks – in particular, there is a strong correlation between the depth and activeness of non-banks and stock markets on the one hand, and economic development on the other. NBFIs have played an important role in the Indian financial system by complementing and competing with commercial banks, and by bringing

efficiency and diversity into financial intermediation. NBFIs have evolved considerably in operations, heterogeneity, asset quality and profitability, and regulatory architecture. In India, they often play an important role because of their ability to:

- a) reach out to inaccessible areas; and
- b) act as not just complements but also substitutes to commercial banks when the banks are confronted with stricter regulatory constraints.

Customers tend to find the non-banking entities convenient due to their quicker decision-making ability, prompt provision of services and expertise in niche segments. Apart from widening the ambit of and access to financial services, they also *enhance the resilience of the financial system* by acting as backup institutions when banks come under stress.

15.4 SIZE AND STRUCTURE OF NBFIs IN INDIA

NBFIs are regulated by the Reserve Bank. They comprise of:

- 1) **Non-banking financial companies (NBFCs):** They include government and private entities and play an important role in financial intermediation, including niche activities like micro-finance, factoring and FinTech.
- 2) **Housing Finance Companies (HFCs):** They extend housing finance to individuals, cooperative societies and corporate bodies.
- 3) **All India financial institutions (AIFIs):** The National Bank for Agriculture and Rural Development (NABARD); the Export-Import Bank of India (EXIM Bank); the Small Industries Development Bank of India (SIDBI); the National Housing Bank (NHB); and National Bank for Financing Infrastructure and Development (NaBFID) are the apex financial institutions (FIs) which provide long-term funding to agriculture, foreign trade, small industries, housing finance companies and infrastructure, respectively.
- 4) **Primary dealers (PDs):** Market makers in the government securities (G-secs) market.

Table 15.1: Structure and Size of NBFIs under RBI regulation

S.No.	Category of NBFIs	Number of institutions (Provisional)
1	All India Financial Institutions	5
2	Non-banking Financial Companies	9480
2a	Deposit-taking NBFC (NBFCs-D)	26
2b	Non-Deposit taking NBFC (NBFCs-ND)	9330

	Non-deposit taking Systematically important NBFCs (NBFCs-ND-SI)	507
	Other NBFCs-ND	8823
2c	Asset Reconstruction companies	27
2d	Housing Finance Companies	97
3.	Primary Dealers	21
3a	Bank PDs	14
3b	Standalone PDs	7

Notes: *Number of NBFCs is at end September 2023, HFCs is at end March 2023

Non-deposit taking NBFCs with asset size of 5 crores or more are called non-deposit-taking Systematically important NBFCs (NBFCs-ND-SI)

Source: RBI (2023). “Report on trend and progress of Banking in India-Non-Banking Financial Institutions” (December 2023) Retrieved from <https://rbi.org.in/Scripts/PublicationsView.aspx?id=22352>

15.5 NON-BANKING FINANCIAL COMPANIES (NBFCs)

According to RBI: “a Non-Banking Financial Company (NBFC) is a company registered under the Companies Act, 1956 engaged in the business of loans and advances, acquisition of shares/stocks/bonds/debentures/securities issued by Government or local authority or other marketable securities of a like nature, leasing, hire-purchase, insurance business, chit business but does not include any institution whose principal business is that of agriculture activity, industrial activity, purchase or sale of any goods (other than securities) or providing any services and sale/purchase/construction of the immovable property. A non-banking institution which is a company and has principal business of receiving deposits under any scheme or arrangement in one lump sum or instalments by way of contributions or in any other manner is also a non-banking financial company (Residuary non-banking company)”.

NBFCs are an integral part of the Indian financial system. They include diverse entities, both government and private, and play an important role in credit intermediation, including niche activities like micro-finance, factoring and FinTech. Over the last decade, NBFCs have witnessed phenomenal growth.

In 2023, the contribution of NBFCs to India’s gross domestic product (GDP) stood at 12.60% and accounted for almost 30% market share of the total non-food credit in the country. (RBI, 2024). NBFCs have emerged as a crucial source of finance for a large segment of the population, including micro, small and medium enterprises (MSMEs), and economically unserved and underserved populations. From being around twelve per cent of the balance sheet size of commercial banks (2010), they are now more than a quarter of

the size of commercial banks. While the development of a robust non-bank intermediation channel provides a good ‘spare tyre’ to the economy, unbridled growth fueled by a lighter regulatory framework can also lead to potential systemic risks. To counter that, RBI has introduced Scale Based Regulation (SBR) in October 2022.

With the implementation of SBR, NBFCs have been segregated into four layers, namely, a Base Layer (NBFC-BL), a Middle Layer (NBFC-ML), an Upper Layer (NBFC-UL) and a Top Layer (NBFC-TL), based on size, activity, and the perceived level of riskiness. The top ten eligible NBFCs in terms of asset size shall always reside in the upper layer, along with other NBFCs that are identified on the basis of a set of parameters and scoring methodology. Accordingly, 15 NBFCs (including five HFCs) have been placed in the upper layer and are subjected to enhanced regulatory oversight. The top layer remains empty unless the Reserve Bank identifies a considerable rise in potential systemic risk from any NBFC in the upper layer, which will be moved to the top layer. We will discuss more about Scale based regulation in Sub-section 15.5.3. Under the new regulatory framework, NBFCs are classified into 11 categories based on activities undertaken. The categorization can be understood with the help of Table 15.2.

Table 15.2: Classification of NBFCs based on activities undertaken under the new regulatory framework

Types of NBFCs	Activity	Layer
NBFC-Investment and Credit Company (NBFC-ICC)	Lending which supports productive/economic activities and acquisition of securities for investment.	Any layer, depending on the parameters of the scale-based regulatory framework.
NBFC-Infrastructure Finance Company (NBFC-IFC)	Infrastructure loans.	Middle layer or Upper layer, as the case may be
NBFC-Core Investment Company (CIC)	Investment in equity shares, preference shares, debt, or loans of group companies.	Middle layer or Upper layer, as the case may be
NBFC-Infrastructure Debt Fund (NBFC-IDF)	Facilitation of flow of long-term debt post commencement operations date (COD) infrastructure projects which have completed at least one year of satisfactory performance and finance toll operate transfer project as the direct lender	Middle layer

NBFC-Micro Finance Institution (NBFC-MFI)	Providing collateral-free small ticket loans to economically disadvantaged groups.	Any layer, depending on the parameters of the scale-based regulatory framework
NBFC-Factors	Acquisition of receivables of an assignor or extending loans against the security interest of the receivables at a discount	Any layer, depending on the parameters of the scale-based regulatory framework
NBFC-Non-Operative Financial Holding Company (NBFC-NOFHC)	Facilitation of promoters/promoter groups in setting up new banks	Base layer
Mortgage Guarantee Company (MGC)	Undertaking of mortgage guarantee business.	Any layer, depending on the parameters of the scale-based regulatory framework
NBFC-Account Aggregator (NBFC-CAA)	Collecting and providing information about a customer's financial assets in a consolidated, organised, and retrievable manner to the customer or others as specified by the customer	Base layer
NBFC-Peer-to-Peer Lending Platform (NBFC-P2P)	Providing an online platform to bring lenders and borrowers together to help mobilise funds.	Base layer
NBFC-Housing Finance Company (NBFC-HFC)	Financing for purchase/ construction/ reconstruction/ renovation/ repairs of residential dwelling units.	Middle layer or Upper layer, as the case may be.

Source: RBI (2023). "Report on trend and progress of Banking in India-Non-Banking Financial Institutions" (December 2023) Retrieved from <https://rbi.org.in/Scripts/PublicationsView.aspx?id=22352>

15.5.1 Ownership Pattern of NBFCs

The NBFC sector is dominated by non-deposit-taking systemically important NBFCs (NBFCs-ND-SI), with a share of 85.4 per cent in the total assets of the sector at the end of March 2023. This category mainly consists of non-government companies, although a few large government companies have a significant share in assets. Deposit-taking NBFCs (NBFCs-D) accounted for 14.6 per cent of the total assets of the NBFCs at end-March 2023. This category is dominated by non-government public limited companies, comprising 88 per cent of the total assets of NBFCs-D. As deposits accepted

by NBFCs-D are not insured by the Deposit Insurance and Credit Guarantee Corporation (DICGC), the Reserve Bank has adopted a cautionary approach, mandating that NBFCs-D with minimum investment grade rating for their fixed deposits shall accept fixed deposits from the public up to a limit of 1.5 times of their NOF and for a tenure of 12 to 60 months only, with interest rates capped at 12.5 per cent. In May 2022, it was mandated that a minimum investment grade credit rating of 'BBB-' from any of the SEBI-registered credit rating agencies would be necessary for deposits of NBFCs.

15.5.2 Financial Indicators of NBFCs

In 2022-23, the aggregate income of NBFCs grew steeply, led by interest income. Fund-based resources have contributed around 90% of NBFCs total income. Expenditure was driven by interest expenses (around one-third of their total expenditure during 2022-23) and operating costs (around one-fourth of the total). In 2022-23, net profits of NBFCs grew significantly because of a slower increase in expenditure as compared to income. This also indicates the operational efficiency of NBFCs. Along with net profits, key profitability indicators i.e., return on assets (ROA), return on equity (RoE) and net interest margin (NIM) improved during 2022-23.

15.5.3 Regulatory Mechanism for NBFCs

India had understood the sector's relevance and the risks that it may pose, way back in the early 1960s, when, in 1963, Chapter III B dealing with regulation of the Non-Banking Financial Institutions was added to the Reserve Bank of India Act 1934. It recognised that non-banking financial activity is an integral part of the financial system and complements commercial banking; only appropriate vigilance and due diligence will be needed to regulate this sector.

Changes to the regulations concerning the NBFC sector over the last decade and a half have largely been incremental. However, in 2023, RBI released a detailed regulatory Structure under Scale Based Regulation. As we have discussed earlier also, the Regulatory structure for Non-Banking Financial Companies (NBFCs) comprises four layers based on their size, activity and perceived riskiness. NBFCs in the lowest layer are known as NBFCs-Base Layer (NBFCs-BL). NBFCs in the middle layer and upper layer are known as NBFCs-Middle Layer (NBFCs-ML) and NBFCs Upper Layer (NBFCs-UL), respectively. The Top Layer is ideally expected to be empty and is known as NBFCs-Top Layer (NBFCs-TL).

The Base Layer comprise (a) non-deposit-taking NBFCs below the asset size of ₹1,000 crore and (b) NBFCs undertaking the following activities — (i) NBFC-Peer to Peer Lending Platform (NBFC-P2P), (ii) NBFC-Account Aggregator (NBFC-AA), (iii) Non-Operative Financial Holding Company (NOFHC) and (iv) NBFC not availing public funds and not having any customer interface.

The Middle Layer consist of (a) all deposit-taking NBFCs (NBFCs-D), irrespective of asset size, (b) non-deposit-taking NBFCs with asset size of ₹1,000 crore and above and (c) NBFCs undertaking the following activities (i) Standalone Primary Dealer (SPD), (ii) Infrastructure Debt Fund-Non-Banking Financial Company (IDF-NBFC), (iii) Core Investment Company (CIC), (iv) Housing Finance Company (HFC) and (v) Non-Banking Financial Company-Infrastructure Finance Company (NBFC-IFC).

Upper Layer: The Upper Layer comprise those NBFCs which are specifically identified by the Reserve Bank as warranting enhanced regulatory requirements based on a set of parameters and a specific scoring methodology. The top ten eligible NBFCs in terms of their asset size always reside in the upper layer, irrespective of any other factor.

Top Layer: The Top Layer will ideally remain empty. This layer can be populated if the Reserve Bank is of the opinion that there is a substantial increase in the potential systemic risk from specific NBFCs in the Upper Layer. Such NBFCs shall move to the Top Layer from the Upper Layer.

As the regulatory structure envisages scale-based as well as activity-based regulation, the following prescription applies with respect to the NBFCs.

- NBFC-P2P, NBFC-AA, NOFHC and NBFC not availing public funds and not having any customer interface always remain in the Base Layer of the regulatory structure.
- NBFC-D, NBFC-CIC, NBFC-IFC and HFC are included in the Middle Layer or the Upper Layer (and not in the Base layer), as the case may be.
- SPD and IDF-NBFC always remain in the Middle Layer.
- The remaining NBFCs, viz., NBFC-Investment and Credit Companies (NBFC-ICCs), NBFC-Micro Finance Institutions (NBFC-MFIs), NBFC-Factors and Mortgage Guarantee Companies (MGCs) could lie in any of the layers of the regulatory structure depending on the parameters of the scale based regulatory framework.
- Government-owned NBFCs are placed in the Base Layer or Middle Layer, as the case may be.
- Multiple NBFCs in a Group - Classification in Middle Layer. NBFCs that are part of a common Group or are floated by a common set of promoters are not viewed on a standalone basis. The total assets of all the NBFCs in a Group are consolidated to determine the threshold for their classification in the Middle Layer. If the consolidated asset size of the NBFCs in the Group is ₹1000 crore and above, then each NBFC-ICC, NBFC-MFI, NBFC Factor and NBFC-MGC lying in the Group are classified as an NBFC in the Middle Layer and consequently, regulations as applicable to the Middle Layer shall be applicable to them. However, NBFC-D, within the Group, is also governed under the Non-Banking

Check Your Progress 1

- 1) What are the important differences between banks and NBFIs?

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- 2) State *four* important functions of NBFIs

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- 3) Explain the structure of NBFIs in India.

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- 4) Explain scale-based regulatory mechanisms for NBFCs.

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- 5) What is meant by shadow banking?

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15.6 HOUSING FINANCE COMPANIES (HFCs)

In India, housing finance companies (HFCs) have about one-third of the market share in housing finance (second only to Scheduled Commercial Banks (SCBs). They are corporate entities that operate under the Companies Act of 1956. Their primary focus is providing housing loans or finance through various direct or indirect means. In terms of the amendment made to the National Housing Bank Act, 1987, pursuant the Union Budget announcements for 2019-20, the regulatory powers (including registration of HFCs) of National Housing Bank over Housing Finance Companies (HFCs) were transferred to the Reserve Bank of India (RBI) with effect from

August 9, 2019. Thus, the Reserve Bank plays the role of regulator and ensures that existing HFCs comply with the principal business criteria i.e., net owned fund (NOF) requirements, and maintenance of liquidity coverage ratio (LCR) and capital adequacy ratio (CRAR). According to RBI, to qualify as HFCs, an NBFC must have 50% assets as housing loans 75% of which should be for individual homebuyers.

HFCs play a very significant role as NBFI. Its asset quality, profitability and growth in credit disbursement have recorded an increase in the year 2022-23. With favourable market conditions owing to the government's emphasis on affordable housing, favourable demographics and rising urbanisation, housing demand will experience a significant boost. HFCs are likely to play a significant role in this regard. Some HFCs have successfully operationalised co-lending models (CLM) with banks for housing as well as MSME loans. The inclusion of five HFCs in the upper layer by the Reserve Bank for the year 2023-24 in its scale-based regulatory framework highlights the systemic importance of HFCs in the Indian financial landscape.

Earlier, the National Housing Bank (NHB) was the regulator of HFCs. From 2019 onwards, RBI has laid down guidelines to regulate HFCs in the interest of investors and depositors.

As we have discussed earlier the regulatory structure for Non-Banking Financial Companies (NBFCs) comprises four layers based on their size, activity and perceived riskiness: NBFCs-Base Layer (NBFCs-BL), NBFCs-Middle Layer (NBFCs-ML), NBFCs Upper Layer (NBFCs-UL), NBFCs-Top Layer (NBFCsTL).

Regarding HFCs, RBI has notified that they will be included in the Middle Layer or the Upper Layer (and not in the Base layer), as the case may be. The Upper Layer comprises those HFCs which are specifically identified by the Reserve Bank as warranting enhanced regulatory requirements based on a set of parameters and scoring methodology. The top ten eligible NBFCs (including HFCs) in terms of their asset size always reside in the upper layer, irrespective of any other factor. If RBI is of the opinion that a particular HCF is of significant risk, it can be moved to the top layer from the upper layer. Other HCFs are in the middle layer. Some other regulations are as follows:

- 1) All non-deposit-taking HFCs with asset size of ₹100 crore and above and all deposit-taking HFCs (irrespective of asset size) shall pursue liquidity risk management.
- 2) It should cover adherence to gap limits, making use of liquidity risk monitoring tools and adoption of a stock approach to liquidity risk.
- 3) HFCs shall maintain a liquidity buffer in terms of Liquidity Coverage Ratio (LCR), which will promote their resilience to potential liquidity disruptions by ensuring that they have sufficient High-Quality Liquid Assets (HQLA) to survive any acute liquidity stress scenario lasting for 30 days.

- 4) HFCs lending against the collateral of listed shares shall maintain a Loan-To-Value (LTV) ratio of 50%. For loans granted against the collateral of gold jewellery, HFCs shall maintain an LTV ratio not exceeding 75%.
- 5) HFC cannot accept or renew public deposits unless it has obtained a minimum investment grade rating for fixed deposits from any one of the approved credit rating agencies, at least once a year.
- 6) HFCs to ensure that at all times, there is full cover available for public deposits accepted by them. In case an HFC fails to repay any public deposit or part thereof as per the terms, it shall not grant any loan or other credit facility make any investment or create any other asset as long as the default exists.
- 7) HFCs cannot lend against their shares.
- 8) Every housing finance company shall maintain a minimum Capital Adequacy Ratio (CAR) on an ongoing basis. It shall not be less than 13% as of March 2020, 14% on or before March 2021, and 15% on or before March 2022.
- 9) An HFC also cannot lend to any single borrower exceeding 15% of its owned fund, and any single group of borrowers exceeding twenty-five per cent of its owned fund.
- 10) It also cannot invest in the shares of another company exceeding 15% of its owned funds and in shares of a single group of companies exceeding 25% of its owned funds.
- 11) The aggregate exposure of an HFC to the capital market in all forms (both fund-based and non-fund-based) should not exceed 40% of its net worth as of March 31 of the previous year.

15.7 ALL INDIA FINANCIAL INSTITUTIONS (AIFIs)

All India Financial Institutions (AIFIs) are an institutional mechanism entrusted with providing sector-specific long-term financing. These specialized financial entities serve particular sectors of the economy, including agriculture, housing, infrastructure, and small-scale industries. They are essential in providing long-term funding to support economic development. AIFIs are regulated by the Reserve Bank. There are 5 AIFIs regulated by RBI: the Export-Import Bank of India (EXIM Bank), the National Bank for Agriculture and Rural Development (NABARD), the National Bank for Financing Infrastructure and Development (NABFID), the National Housing Bank (NHB) and the Small Industries Development Bank of India (SIDBI).

Over the years, the role of the AIFIs in the Indian financial system has undergone significant change reflecting the changes in their business models. As the Indian economy grows further, AIFIs are increasingly being seen as key institutions to promote the flow of direct or indirect credit to the economic sectors they cater to. Acknowledging their growing importance, RBI has extended Basil III Capital framework guidelines to AIFIs in 2023-24. Some of the important guidelines are:

- 1) AIFIs will be required to maintain a minimum total capital of 9 per cent by April 2024, wherein minimum tier-I capital will need to be at 7 per cent and common equity tier-I (CET-1) capital at 5.5 per cent. For NHB, the implementation date will be July 2024, given that its accounting year is July–June.
- 2) All financial subsidiaries, except those engaged in insurance and non-financial activities (both regulated and unregulated), will need to be fully consolidated for the purpose of capital adequacy to ensure an assessment of capital adequacy at the group level, taking into account the risk profile of assets and liabilities of the subsidiaries.
- 3) AIFIs' investments in capital instruments of banking, financial, and insurance entities will be capped at 10 per cent of their capital funds. AIFIs will not be allowed to acquire a fresh stake in a bank's or AIFI's equity shares if the acquisition leads to its holding exceeding 5 per cent of the investee's equity capital.
- 4) AIFIs' equity investment in a single entity cannot exceed 49 per cent of the equity of the investee. While AIFIs can hold this entire 49 per cent stake as a pledgee, if the acquisition is against AIFI's claims, the stake will need to be brought below 10 per cent within three years.

15.8 PRIMARY DEALERS (PDs)

The system of Primary Dealers (PDs) in the Government Securities Market was introduced by the Reserve Bank of India in 1995 to strengthen the market infrastructure of Government Securities (G-sec) and put in place an improved, efficient secondary market trading system. This was to encourage the holding of Government Securities on a large scale and make the market more vibrant and liquid. In 2006-07, RBI gave Banks the option to undertake Primary Dealership business departmentally.

Primary Dealers can also be referred to as Merchant Bankers by the Government of India as only they are allowed to underwrite primary issues of government securities other than RBI who have since shed this role. In 2021, there were 21 Primary dealers out of which 14 are bank primary dealers and 7 are standalone primary dealers. RBI expects PDs to play an active role in the G-Sec market, both in its primary and secondary market segments through various obligations like participating in Primary auctions, market making in G-Sec, predominance of investment in G-Sec, achieving minimum secondary

market turnover ratio, maintaining efficient internal control system for fair conduct of business etc. A PD is required to have a standing arrangement with RBI based on the execution of an undertaking and the authorization letter issued by RBI every three years.

Stand-alone PDs are allowed the following activities as core activities:

- Dealing and underwriting in Government securities.
- Dealing in Interest Rate Derivatives.
- Providing broking services in Government securities.
- Dealing and underwriting in Corporate / PSU / FI bonds/ debentures.
- Lending in Call/ Notice/ Term/ Repo/ CBLO market.
- Investment in Commercial Papers.
- Investment in Certificates of Deposit.
- Investment in Security Receipts issued by Securitization Companies/ Reconstruction Companies, Asset Backed Securities (ABS), and Mortgage-Backed Securities (MBS).
- Investment in debt mutual funds where the entire corpus is invested in debt securities.

15.9 ISSUES AND CONCERNS IN THE NBFIs SECTOR

While NBFIs can contribute to the economy, they also bring risks. Given the nature of their operations, NBFIs also carry inherent risks including, excess leverage, amplification of pro-cyclicality and over-reliance on wholesale funding. Given their exposure to niche segments, they may also suffer from the concentration of risks. They are often not allowed the benefit from the central bank as a lender of last resort and from deposit insurance institutions. The only way to control these risks is through proper regulation. Risk will vary depending upon the economic functions performed by NBFIs. The challenge for regulation is striking the right balance between the risks and benefits. On the one hand, too little or no regulation can lead to a crisis and severely impact the vulnerable and the economy. Getting the right balance is a perpetual challenge for financial regulators and supervisors, not only in developing countries but also in developed and advanced economies.

The business model of NBFIs is inherently risk-prone. Weaker underwriting standards, enhanced risk-taking capabilities and increased complexity of their activities cause concerns. Besides the riskiness of the business model, NBFIs are exposed to key risks emanating from regulatory gaps, arbitrage and contagion effects. NBFIs are more prone to systemic risks on account of the concentration of exposure to specific sectors. Also, since these entities are more dependent on funding from commercial banks, both directly and

indirectly, the interconnectedness risk tends to be higher. Their asset-liability mismatches accentuate liquidity risks. These risks can quickly escalate as solvency risks and lead to systemic risk as well. Therefore, careful and continuous monitoring is still required to detect any increases in systemic risk factors (e.g. maturity liquidity transformation, and leverage) that could arise from the rapid expansion of credit provided by the non-bank sector. The report of the working group on the Issues and Concerns in the NBFC Sector (*Thorat Committee, August 2011*) has suggested reducing clutter and possibilities of arbitrage. It recognizes the regulatory priorities, the fundamental differences with the banking system and the arbitrage points to be plugged. All the prudential norms applicable to banks should apply to NBFCs as well.

Besides that, NBFIs also face various challenges in terms of huge competition from banks, data security threats, dependence on banks for funding etc.

Check Your Progress 2

- 1) What are Housing Finance Companies (HFCs)? How are they regulated by RBI?

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- 2) Explain the guidelines by RBI issued for All India Financial Institutions (AIFIs).

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- 3) Discuss some issues and concerns related to NBFIs in India.

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15.10 LET US SUM UP

NBFIs, also known as shadow banks, fill the gaps in financial services that otherwise occur in bank-based financial systems. They are doing functions akin to that of banks, however, there are a few differences. NBFIs complement commercial banks by providing services that are not well suited to banks. *NBFIs play a range of roles.* They foster a risk management culture by encouraging those who are least able to bear risk to sell those risks to those better able to manage them. Thus, they broaden the spectrum of risks

available to investors. They encourage investment and savings and improve the efficiency of investment and savings. They can enhance the resilience of the financial system to economic shocks.

NBFCs are fast emerging as an important segment of the Indian financial system. It is a heterogeneous group of institutions (other than commercial and cooperative banks) performing financial intermediation in a variety of ways, like accepting deposits, making loans and advances, leasing, hiring purchases, etc. They have broadened and diversified the range of products and services offered by the financial sector. Thus, gradually, they are being recognised as complementary to the banking sector due to their customer-oriented services; simplified procedures; attractive rates of return on deposits; flexibility and timeliness in meeting the credit needs of specified sectors; etc. NBFIs are a heterogeneous category of financial institutions. They comprise non-banking financial companies (NBFCs), Housing Finance companies (HFCs), All India financial institutions (AIFIs), and Primary dealers (PDs). Since 2023, The Reserve Bank of India has regulated NBFIs under Scale Based Regulation. The regulatory structure for Non-Banking Financial Companies (NBFCs) comprises four layers based on their size, activity and perceived riskiness. NBFCs in the lowest layer are known as NBFCs-Base Layer (NBFCs-BL). NBFCs in the middle layer and upper layer are known as NBFCs-Middle Layer (NBFCs-ML) and NBFCs Upper Layer (NBFCs-UL), respectively. The Top Layer is ideally expected to be empty and is known as NBFCs-Top Layer (NBFCs-TL).

15.11 KEY WORDS

Economies of Scale : Large size of the asset portfolios enables the financial intermediaries to reap various economies of scale in portfolio management. The main economies are:

- a) reduction of risk through portfolio diversification;
- b) employment of efficient and professional managers;
- c) the low administrative cost of large loans and
- d) low costs of establishment, information and transactions.

Financial intermediation : A financial intermediary is a *financial institution* that connects surplus and deficit agents. An entity that acts as the middleman between two parties in a financial transaction. While a commercial bank is a typical financial intermediary, this category also includes other financial institutions such as investment banks, insurance companies, broker-dealers, mutual funds and pension funds. Financial

intermediaries offer several benefits to the average consumer including safety, liquidity and economies of scale.

Hire purchase : It is the legal term for a contract, in which persons usually agree to pay for goods in parts or a percentage at a time.

Insurance Company : It is a company that offers insurance policies to the public, either by selling directly to an individual or through another source such as an employee's benefit plan. An insurance company is usually comprised of multiple insurance agents. An insurance company can specialize in one type of insurance, such as life insurance, health insurance, or auto insurance, or offer multiple types of insurance.

Investment Companies : They are business entities, both privately and publicly owned, that manage, sell, and market funds to the public. They typically offer investors a variety of funds and investment services, which include portfolio management, record-keeping, custodial, legal, accounting and tax management services.

Leasing : It is a process by which a firm can obtain the use of certain fixed assets for which it must pay a series of contractual, periodic, tax-deductible payments. The *lessee* is the receiver of the services or the assets under the *lease* contract and the lessor is the owner of the assets. The relationship between the tenant and the landlord is called a tenancy and can be for a fixed or indefinite period (called the term of the lease). The *consideration* for the lease is called *rent*.

Microfinance : It is usually understood to entail the provision of financial services to micro-entrepreneurs and small businesses, which lack access to banking and related services due to the high transaction costs associated with serving these client categories. The two main mechanisms for the delivery of financial services to such clients are (1) relationship-based banking for individual entrepreneurs and small businesses; and (2) group-based models, where several entrepreneurs come together to apply for loans and other services as a group.

Mutual fund: is a mediator that brings together a group of people and invests their money in stocks, bonds and other securities. Each investor owns shares, which

represent a portion of the holdings of the fund. Thus, a mutual fund is one of the most viable investment options for the common man as it offers an opportunity to invest in a diversified, professionally managed basket of securities at a relatively low cost.

Shadow Banking : Shadow banks are those entities which performs activities (fully or partially) outside the regular banking system. The shadow banking sector in India primarily includes NBFCs

Systemic risk : In finance, systemic risk is the risk of collapse of an entire financial system or entire market, as opposed to risk associated with any one individual entity, group or component of a system. It can be defined as “financial system instability, potentially catastrophic, caused or exacerbated by idiosyncratic events or conditions in financial intermediaries”. It refers to the risks imposed by interlinkages and interdependencies in a system or market, where the failure of a single entity or cluster of entities can cause a cascading failure, which could potentially bankrupt or bring down the entire system or market.

15.12 SOME USEFUL BOOKS AND REFERENCES

- Bhole, L M and Jitendra Mahakud (2017): ‘*Financial Institution and Markets*’, 6th edition, Chapters 15 and 16, Tata McGraw-Hill Education Pvt. Ltd., New Delhi
- Gupta, Suraj B. (1985): *Monetary Economics: Institutions, Theory and Policy*, S. Chand and Company, New Delhi (Chapter 3 & 10).
- Gurusamy, S. (2009): *Financial Services and Markets*, Thomson, New Delhi (Chapter 29).
- Khan, M Y (2017): ‘*Indian Financial System*’, 10th edition, Tata McGraw-Hill Education Pvt. Ltd., New Delhi
- Reserve Bank of India:
 - a) Annual Report (various issues)
 - b) Report on Trend and Progress of Banking in India, 2022-23
- Neelima, K M and Anand Kumar (2017): Non-Banking Finance Companies in India’s Financial Landscape, *RBI Bulletin*, October

15.13 ANSWERS/HINTS TO CHECK YOUR PROGRESS EXERCISES

Check Your Progress 1

- 1) NBFIs are a heterogeneous category of financial institutions. Banks form a homogeneous group doing banking business. the Reserve Bank has classified varieties of specific types of NBFIs separately and regulates each such type differently, Credit creation activities of the banks involve less time, while the lending activities of the non-bank intermediaries involve longer time.
- 2) mobilization of savings, channelization of funds into investment, brokers of loanable funds, stabilize the capital market.
- 3) They comprise non-banking financial companies (NBFCs), Housing Finance companies (HFCs), All India financial institutions (AIFIs), and Primary dealers (PDs).
- 4) Refer to Sub-section 15.5.3

Check Your Progress 2

- 1) Corporate entities that operate under the Companies Act of 1956. Their primary focus is providing housing loans or finance through various direct or indirect means. Regarding HFCs, RBI has notified that they will be included in the Middle Layer or the Upper Layer.
- 2) RBI has extended Basil III Capital framework guidelines to AIFIs in 2023-24.
- 3) Refer to Section 15.9

15.14 TERMINAL QUESTIONS

- 1) Describe the functions and working of NBFCs in India.
- 2) NBFCs are doing functions similar to banks. What is the difference between banks & NBFCs?
- 3) Analyse the role of the Reserve Bank in regulating NBFCs in India.
- 4) What are the different types/categories of NBFIs registered with RBI? Does the Reserve Bank regulate all NBFCs?
- 5) Explain the regulatory mechanism of NBFIs in India.

UNIT 16 SECURITIES AND EXCHANGE BOARD OF INDIA (SEBI)

Structure

- 16.0 Objectives
- 16.1 Introduction
- 16.2 Concept and Act of SEBI
 - 16.2.1 Evolution of SEBI and Act of 1992
 - 16.2.2 Rationale for the Establishment of SEBI
- 16.3 Objectives and Functions of SEBI
 - 16.3.1 Functions of SEBI
- 16.4 Structure of SEBI
 - 16.4.1 Authority and Power of SEBI
 - 16.4.2 Mutual Fund Regulations by SEBI
- 16.5 Working of SEBI
- 16.6 Challenges before SEBI
- 16.7 Evaluation of SEBI's Performance
- 16.8 Suggestions for Making SEBI Effective
- 16.9 Let Us Sum Up
- 16.10 Key Words
- 16.11 Some Useful Books and References
- 16.12 Answer/Hints to Check Your Progress Exercises
- 16.13 Terminal Exercises

16.0 OBJECTIVES

After going through this unit, you will be able to:

- describe SEBI;
- explain SEBI's objective and functions;
- highlight the rationale for SEBI;
- describe the working of SEBI as a capital market regulator;
- evaluate the performance of SEBI;
- examine the challenges before SEBI; and
- suggest measures for improving SEBI's effectiveness.

16.1 INTRODUCTION

India's approach to '*market regulation*' has evolved keeping systemic imperatives and institutional prudence at the centre. Legislative and regulatory action over the years has started to change things for the better. The changing regulatory environment has also enabled foreign institutional investors steeped in a more robust activism culture. Shareholder activism may have gained ground, but it still has a distance to go.

There is increasing evidence that law and regulations are important for the financial markets. Financial markets have an important relationship with economic development. Regulation has been acknowledged to enable the orderly functioning of the securities market. In India, because of the securities fraud, there was a sense of urgency to establish a capital market regulator. Keeping this in mind, Securities and Exchange Board of India (SEBI) was officially established in 1988 and given autonomous and statutory powers in 1992 after the SEBI Act 1992 was passed by the Indian Parliament. The role of SEBI was defined to be responsive to the needs of three groups, which constitute the market: the issuers, the investors, and the intermediaries.

SEBI is primarily set up to protect the interests of investors in the securities market. It plays an important role in regulating the Indian capital market. Since its establishment in 1992 as a statutory regulatory body, it has been doing a commendable job of protecting the interests of investors. SEBI provides a platform for stockbrokers, sub-brokers, portfolio managers, investment advisers, share transfer agents, bankers, merchant bankers, trustees of trust deeds, registrars, underwriters, and other associated people to register and regulate work.

SEBI aims to meet the needs of issuers, investors, and intermediaries involved in the securities market. SEBI is a quasi-legislative and quasi-judicial organisation with the authority to create rules, conduct investigations, issue decisions, and levy penalties. It also regulates the functioning of the stock market. The head office of SEBI is in Mumbai. Having this backdrop, this unit will discuss various aspects of SEBI in terms of its concept, nature, rationale for its formation, objectives, functions and powers, structure of governance, working, challenges, evaluation of its working and suggestions for going forward.

16.2 CONCEPT AND ACT OF SEBI

In 1988, SEBI was founded as a non-statutory organization with the responsibility of monitoring stock market activity. The SEBI Act of 1992 made SEBI a statutory body with independent jurisdiction and was established on the 12th of April, 1992. The Act gave SEBI the power to oversee and actively enforce regulations governing the capital markets. It monitors and regulates the Indian capital and securities market while ensuring the protection of the interests of the investors, formulating regulations and guidelines.

16.2.1 Evolution of SEBI and Act of 1992

Before SEBI came into existence, the Controller of Capital Issues (CCI) was the regulatory authority. The capital market was regulated by the Capital Issue (Contract) Act, of 1947. Later on, when the Controller of Capital Issues was abolished, SEBI was given the responsibility of a market regulator. With the abolition of CCI, companies do not require prior permission from the government to access the capital markets. Companies are free to approach the capital markets without prior government permission, subject to getting offer documents cleared by SEBI. Controls over price and premium fixation have also been removed and most issuing companies are free to fix the price of their securities for the public as well as rights issues.

In 1988, SEBI was constituted as the regulator of capital markets in India. Initially, SEBI was a non-statutory body without any statutory power. The SEBI was established as a statutory entity by an ordinance on January 30, 1992. The ordinance was passed by both houses of Parliament on April 1, 1992, although the legislation is deemed to have taken effect from the day the ordinance was issued. SEBI is a body having a separate legal existence and perpetual succession. In 1995, the SEBI was given additional statutory power through an amendment to the SEBI Act of 1992.

SEBI was established in the same manner as the Securities and Exchange Commission (SEC) of the United States, which was established under the Securities Exchange Act of 1934 to oversee the securities market and to prevent unfair trade activities on the stock exchange. The SEBI Act 1992 covers the following areas:

- i) Composition and actions of the SEBI Board members
- ii) Powers and Functions of the Board
- iii) Fund sources of SEBI, as in grants made available by the Union Government
- iv) Rules on Penalties and Legal Pathways
- v) Definition of the judicial authority of SEBI
- vi) The extent of powers of the Union Government to supersede SEBI.

SEBI also has to adhere to a list of SEBI guidelines, about areas such as:

- i) Employee Stock Option Schemes.
- ii) Disclosure and Investor Protection norms.
- iii) Legal Proceedings.
- iv) Anti-money laundering norms.
- v) Listing and delisting of securities.
- vi) Opening of trading terminals overseas.

Listing Obligations and Disclosure Requirements (LODR) regulations for SEBI form one of the most important mandates. The new regulation in 2015 on LODR intends to consolidate all the previous amendments into one single document, making the document uniform across different segments of the capital market. The SEBI (LODR) Regulations, 2015 entails the following:

- i) Disclosures and obligations that have to be acknowledged by the compliance officers of the listed company.
- ii) Listing down obligations uniform to all listed companies.
- iii) Distinct obligations for certain types of securities.
- iv) Segregating initial issuance and post-IPO norms.
- v) Communication of the companies' fundraising activities.
- vi) Establishing timelines for notifying the exchanges of certain events.
- vii) Bringing MSMEs under the ambit of the SEBI (LODR) Regulations.

16.2.2 Rationale for the Establishment of SEBI

Broadly, financial markets may be considered to comprise the securities markets and financial institutions such as banks and non-banking finance companies (NBFCs). There are multiple perspectives from which the rationale for regulation may be examined. SEBI was set up with the main purpose of keeping a check on malpractices and protecting the interests of investors. It was set up to meet the needs of the following three groups, which constitute the market:

- i) *For issuers*: it provides a marketplace in which they can raise finance fairly and easily.
- ii) *For investors*: it provides protection and supply of accurate and correct information.
- iii) *For intermediaries*: it provides a competitive professional market.

The purpose of SEBI is to maintain stable and efficient markets by creating and enforcing regulations in the marketplace. It is a vital component in improving the quality of the financial markets in India, both by attracting foreign investors and protecting Indian investors. SEBI has an explicit mandate to develop securities markets. Market participants are issuers and issuances, investors, intermediaries, stock exchange, clearing corporations and depositories.

According to *G. Sabarinathan*, "The Indian securities market is a complex network of a host of economic agents. When they come together to execute a transaction they are tied together through a web of regulations, in addition to their commercial interconnectedness. Even the conduct of those that are not directly governed by securities regulations is indirectly influenced through

their contractual obligations to other regulated intermediaries and/or the regulation on the outcome of the service they provide”.

The government and the community at large would expect that the securities market function as an important, stable and safe centre piece of the financial system, coexisting in a symbiotic relationship with the rest of the financial system. “The failure of the securities market could have a ripple effect on the rest of the financial system as a whole”. Stock exchanges expect a stable, consistent and transparent policy regime that would enable them to engage in the activity of providing liquidity to investors by innovating, competing and responding to emerging developments in the financial sector. In short, SEBI plays an important role in regulating and protecting the interests of all the players operating in the Indian capital market by enforcing various rules and regulations.

16.3 OBJECTIVES AND FUNCTIONS OF SEBI

The objective of the SEBI is to provide an environment that paves the way for the mobilisation and allocation of resources. It provides practices, framework and infrastructure to meet the growing demand. The following are the primary objectives of the SEBI:

- i) *Regulation of Stock Exchanges*: SEBI regulates the activities of stock exchanges so that efficient services may be provided to all the parties operating there.
- ii) *Investor Protection*: This is one of the most important objectives of setting up SEBI. It involves protecting the interests of investors by providing guidance and ensuring that the investment is safe.
- iii) Preventing fraudulent practices and malpractices which are related to trading and regulation.
- iv) Developing a code of conduct for financial intermediaries such as underwriters, brokers, and other intermediaries.
- v) Ensuring investor’s education about the intermediaries of securities markets and enhancing their knowledge.
- vi) Taking care of research and development to ensure the securities market is efficient at all times.

SEBI achieves its objectives through proactive supervision and policy measures. The realisation of statutory objectives in the securities market requires absolute clarity of statutory provisions.

16.3.1 Functions of SEBI

SEBI is a statutory body and a market regulator, its functions are categorised under protective, regulatory and developmental functions. These are discussed as follows:

a) **Protective Functions:** The protective function relates to the role that SEBI plays in protecting the interests of investors and also that of other financial participants. This function includes the following activities:

- i) Prohibits insider trading: Insider trading means buying or selling of the securities by the insiders of a company, which includes the directors, employees and promoters. To prevent such trading SEBI has barred the companies from purchasing their shares from the secondary market.
- ii) Check price rigging: Price rigging causes unnatural fluctuations in the price of securities by either increasing or decreasing the market price of the stocks which leads to unexpected losses for the investors. SEBI maintains a very close watch to prevent such malpractices.
- iv) Promoting fair practices: SEBI promotes fair trade practices and works towards prohibiting insider trading, i.e. fraudulent and unfair trade practices related to the securities market.
- iv) Financial education: SEBI educates the investors by conducting online and offline sessions that provide information related to market insights and also on money management. It takes efforts to educate the investors regarding ways to evaluate the investment options better.
- v) Regulates the operations of depositories, participants, custodians of securities, foreign portfolio investors, and credit rating agencies.

b) **Regulatory Functions:** Regulatory functions involve a framework of rules and regulations for the financial intermediaries along with corporates that help in the efficient management of the market. The following are some of the regulatory functions:

- i) SEBI has defined the rules and regulations and formed guidelines and codes of conduct that should be followed by the corporates as well as the financial intermediaries.
- ii) Monitors substantial acquisitions of shares and take-over of companies,
- iii) Conducting inquiries and audits of stock exchanges.
- iv) Regulates the working of stock brokers, merchant brokers etc. It regulates and registers the workings of share transfer agents, stockbrokers, merchant bankers, trustees, and others who are linked with the stock exchange.
- v) Regulates and registers the mutual funds as well.

- c) **Developmental Functions:** Developmental function refers to the steps taken by SEBI to provide the investors with knowledge of the trading and how the market functions. The following activities are included:
- i) Training of intermediaries who are a part of the security market.
 - ii) Introduction of trading through electronic means or the internet with the help of registered stock brokers.
 - iii) By making the underwriting an optional system to reduce the cost of the issue.
 - iv) Promotes the development of the securities market and business.
 - v) Enables a competitive professional market for intermediaries.

Several of the functions that SEBI discharges are based on powers that it draws from the Securities Contract Regulation (SCR) Act, 1956 and the rules made thereunder. Two amendments in 1995 and 1999 brought about several important changes to the scope and the administration of the SCR Act, resulting in the current form of the law (Sabarinathan, 2010).

Check Your Progress 1

- 1) What is SEBI? Why was it established?

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- 2) Explain the role and objectives of SEBI.

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- 3) Why is there stress on protecting the interest of investors?

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16.4 STRUCTURE OF SEBI

SEBI is run by its board of members. The board comprises of nine members. SEBI has a corporate framework comprising various departments each managed by a department head. The headquarters of SEBI is situated in

Bandra Kurla Complex, Mumbai and the regional offices are located in Ahmedabad, Kolkata, Chennai and Delhi. It has also opened local offices in Jaipur, Bengaluru, Guwahati, Bhubaneswar, Patna, Kochi, and Chandigarh.

The hierarchical structure of SEBI consists of the following:

- i) The chairman of SEBI is nominated by the Union Government of India.
- ii) Two officers from the Union Ministry of Finance.
- iii) One member is from the Reserve Bank of India.
- iv) The remaining 5 members are nominated by the Union Government of India out of them at least 3 are whole-time members.

Allocation of work among Chairman and Board members: The Chairman of SEBI, in addition to overseeing the Board, also looks over the Communications, Vigilance, and Internal Inspection Department. There are four full-time members in the organizational structure. The whole-time members are allocated several departments that they have to oversee. Each department is individually headed by an executive director. The executive directors report to specific whole-time members.

The organizational structure of SEBI consists of various departments, such as Foreign Portfolio Investors and Custodians (FPI&C), Corporation Finance Department (CFD), Information Technology Department (ITD), Department of Economic and Policy Analysis (DEPA-I, II, & III), Investment Management Department, Legal Affair Department, Treasury and Accounts Divisions (T&A), and National Institute of Securities Market (NISM).

SEBI also appoints various committees, whenever required to look into the pressing issues of that time. These committees can only advise SEBI but they cannot force SEBI to take action on their advice.

16.4.1 Authority and Power of SEBI

SEBI has broad powers to carry out the goals of the SEBI Act of 1992. It has the authority to take both preventative and punitive actions to safeguard investors and improve the securities market. Circulars, instructions, and press releases are examples of such initiatives. Furthermore, SEBI is in charge of overseeing all Asset Management Companies (AMCs) registration. It is the primary authority when it comes to controlling, supervising, and assessing the performance of investment managers. It also has a procedure for resolving complaints and other concerns about asset managers.

SEBI has the power to regulate and perform functions such as check the books of accounts of stock exchanges and call for periodical returns, approve by-laws of stock exchanges, inspect the books of financial intermediaries such as banks, compel certain companies to get listed on one or more stock exchanges, and handle the registration of brokers.

SEBI has three functions rolled into one body: *quasi-judicial*, *quasi-executive* and *quasi-legislative*:

- i) **Quasi-Judicial:** SEBI has the authority to deliver judgements related to fraud and other unethical practices in terms of the securities market. This helps to ensure fairness, transparency, and accountability in the securities market.
- ii) **Quasi-Executive:** SEBI is empowered to implement the regulations and judgements made and to take legal action against the violators. It is also authorised to inspect Books of accounts and other documents if it comes across any violation of the regulations.
- iii) **Quasi-Legislative:** SEBI reserves the right to frame rules and regulations to protect the interests of the investors. Some of its regulations consist of insider trading regulations, listing obligations, and disclosure requirements. These have been formulated to keep malpractices at bay.

Though this makes SEBI very powerful, there is an appeal process to create accountability. There is a *Securities Appellate Tribunal* (SAT) which is a three-member tribunal. Securities Appellate Tribunal (SAT) has been constituted to protect the interest of entities that feel aggrieved by SEBI's decision. SAT consists of a presiding officer and two other members.

A second appeal lies directly to the Supreme Court. Furthermore, as part of its powers, SEBI can restrict or ban a person from entering the securities market. SEBI can issue such an order even while the inquiry is ongoing. By obtaining a disgorgement order, SEBI can recover illicit gains acquired by a person via illegal activity.

SEBI can also take immediate action against companies that incorporate illegal schemes to generate revenue from retail investors, and it can prohibit a person acting as an intermediary, such as a research analyst, investment advisor, and so on, from soliciting/undertaking an activity in securities, either explicitly or implicitly.

SEBI has sufficient regulatory guardrails and multiple statutes in place. Some of them are:

- i) **Listing Obligations and Disclosure Requirements for Prevention of Fraud and Unfair Trade Practices Rules.**
- ii) **Level the playing field for retail investors and shield them from fraud.**
- iii) **Active derivatives contracts in index stocks that allow investors to hedge cash positions, circuit filters,**
- iv) **Advanced and Graded Surveillance Mechanisms with stiff margining that seek to rein in excessive single-day moves.**

Supreme Court held that the SEBI Act is a special law and a complete code in itself. Being a special Act dealing with a specific subject, it has to be read in harmony with the company law. Further, SEBI's power to restrain an individual from acting as a director in a listed company has been upheld in several matters. Therefore, prohibition comes into effect immediately and it is not contingent on the process to be followed under the Companies Act (Sahoo and Agarwal, 2022).

16.4.2 Mutual Fund Regulations by SEBI

Over the past decade, the mutual fund industry has grown five-fold with assets under management touching ₹40-lakh crore in December 2022, from ₹8-lakh crore in November 2012. From ₹10-lakh crore in May 2014, mutual funds' assets under management (AUM) rose to ₹20-lakh crore in just three years in August 2017 and then crossed ₹30-lakh crore in November 2020 (Kumar and Iyengar, 2023).

SEBI has put in multiple regulations for mutual funds. Mutual funds are managed by Asset Management Companies (AMC), which need to be approved by SEBI. A Custodian who is registered with SEBI holds the securities of various schemes of the fund. The trustees of the AMC monitor the performance of the mutual fund and ensure that it works in compliance with SEBI Regulations.

In August 1995, a self-regulation agency for mutual funds was set up called the Association of Mutual Funds of India (AMFI). AMFI focuses on developing the Indian mutual fund industry professionally and ethically. AMFI aims to enhance the operational standards in all areas to protect and promote mutual funds and their stakeholders. In April 2022, there were 44 Asset Management Companies that were registered with SEBI and were members of AMFI. An AMC cannot have representation on the board of any other mutual fund. Shareholders can't hold more than 10 per cent of the shares both directly and indirectly in the AMC of the mutual fund.

Guidelines on Mutual Funds Reclassification:

- i) Funds must be named based on the core intent of the fund and asset mix. It should specify the risk associated clearly.
- ii) There will be 16 classifications for debt funds, 10 classifications for equity funds, six classifications for hybrid, two for solution funds, and two for index funds.
- iii) Reclassified large-cap, mid-cap, and small-cap based on market cap relative rankings rather than absolute market cap cut-offs. The debt fund classification is prescribed based on the duration of the fund and the asset quality mix.

- iv) All categories except index funds can only have one fund per classification, i.e. an AMC can have a maximum of 34 funds other than index funds.

SEBI has proposed AMCs to set up a *Unit Holder Protection Committee* across all products and services. This committee will independently review AMC's decision from the unit-holders interest perspective. SEBI on 29 March, 2023, has allowed:

- i) Diverse entities, including private equity funds, can become mutual fund sponsors.
- ii) Multiple environmental, social and governance (ESG) schemes can be launched by MFs.
- iii) It is also evaluating rules for the total expense ratio (TER) process by MFs, for which detailed guidelines will be out soon.
- iv) SEBI has brought in a backstop facility for specified debt funds. A backstop fund has to be created by mutual funds to buy corporate bonds during times of stress.
- v) By strengthening and widening the existing eligibility criteria for sponsors, the regulator has introduced an alternative route to enable a diverse set of entities to become sponsors of MFs. This will make private equity eligible to become a sponsor of MFs — a long pending move.

Given the size of the industry and its importance to the economy, it is understandable that SEBI wishes to examine processes and practices across the industry. On paper, the rules and regulations governing funds are quite stringent but ensuring that 40 funds and their respective AMCs and trustees are complying strictly is a difficult task. SEBI will introduce “MF Lite” regulations during FY 2023-24 and these will reduce the compliance burden on the purveyors of passive instruments to around a tenth of current levels.

It is good that the SEBI is proposing to make mutual fund AMCs more accountable and curtailing the practice of passing the blame for lapses on mutual fund trustees. This appears to have narrowed the responsibility of the trustees to a few core areas such as identifying conflicts of interest between the mutual fund shareholders and unit holders. With the formation of a unit-holder protection committee under the Board of the AMC, the fund house is better placed to assume the responsibility of protecting investors (Editorial Comment, The Hindu Business Line, 02 April 2023).

16.5 WORKING OF SEBI

In this section, a brief sketch of the regulator's work is given about the following areas (Sabarinathan, 2010):

- 1) ***The primary market, market access and intermediaries:*** SEBI has regulated the *primary market* through (i) the regulation of issuers' access to the market (ii) regulation of information production at the time of issue, and (iii) regulation of processes and procedures relating to the issuance of securities. All three aspects have evolved considerably over the years.
- 2) ***Disclosure requirements:*** With the introduction of the corporate governance requirements in 2000-01, disclosure of materially significant related party transactions with promoters, directors, management, subsidiaries, relatives and so on was added. Over the years, having increased the frequency of quarterly reporting the disclosure requirements have started mandating a more fine-grained presentation of the performance of the company. SEBI has tightened the disclosure requirements for listed firms. These norms are sensible and they would help in reducing information asymmetry.
- 3) ***Corporate Governance:*** SEBI has led the effort to improve standards of corporate governance in India. SEBI's initiatives starting with the committee headed by Mr Kumar Mangalam Birla and thereafter the two reports presented by the Committee headed by Mr. N R Narayana Murthy, culminated in the introduction of Clause 49 in the listing agreement. The provisions of Clause 49 are often compared with the Sarbanes Oxley Act 2002 and are said to draw upon that legislation in the objectives as well as approach to regulating corporate governance.
- 4) ***Market for corporate control:*** Takeovers and acquisitions are regulated by the SEBI. The Takeover Code has enabled an active market for corporate control to evolve in India. The Takeover Code is an initiative entirely attributable to SEBI.
- 5) ***Trading Mechanisms:*** SEBI played an important role in moving many Indian stock exchanges to adopt an electronic trading system. The automation of trading and post-trading systems on the major stock exchanges (i) reduced manipulation of prices and concealment of audit trails of such manipulation (ii) ensured investors received time-based priority and correct prices for their (iii) fundamentally altered the economics of the business of stock exchanges as the operations of NSE and The Stock Exchange, Mumbai were allowed to be extended electronically to other cities from 1996-97.
- 6) ***Settlement systems:*** With the introduction of the dematerialisation of securities SEBI moved the stock exchanges gradually to a T+2 rolling settlement from April 2003. These developments were also accompanied by the discontinuation of several risk management products that were in use in disguised forms such as the *badla*, a form of futures-based trading. The combined result of these initiatives is the reduction in transaction costs.

- 7) ***Dematerialisation:*** Starting January 1998 dematerialisation was gradually made compulsory for all issuers and all IPOs in September 2001. Dematerialisation brought about several benefits in terms of greater liquidity, no loss or risk on account of mutilation or loss of scrips, shorter periods of book closure for corporate actions such as dividends payments, rights or bonus issues; and eliminated delays in transfer of shares. The dematerialization has maintained the momentum that was provided by the regulatory push from SEBI.
- 8) ***Institutionalisation of Trading and Ownership of Securities:*** A key feature of developed securities markets is the extent of institutional ownership of shares as well as the increasing share of institutions in securities trade. There is a strong and increasing link between FII inflows and market returns but of unsure causal direction. These investors have exerted pressure on Indian corporations to raise their standards of governance.
- 9) ***Market Integrity and Insider Trading:*** To maintain the confidence of investors in the public securities market it is essential that no one should possess an informational advantage over the others and not exploit the same to derive pecuniary gains for themselves. Arthur Levitt, a former Chairman of the Securities and Exchange Commission of the USA opined that insider trading “has utterly no place in any fair-minded law-abiding economy”.

Further, insider trading increases volatility. The SEBI approach centres around the prevention of insider trading by requiring listed companies, intermediaries and advisors to set up internal systems for preventing insider trading and reporting on compliance or otherwise to SEBI. Manipulative practices harm the interests of small and large investors alike as well as that of companies whose shares are subject to such practices. SEBI has addressed these through the SEBI (Fraudulent and Unfair Trade Practices) Regulation, 2003. SEBI has backed up these regulatory measures with a substantial investment in the surveillance of the markets.

SEBI’s effort at improving the integrity of securities markets also includes its attempts at improving governance. In particular, the separation of ownership and trading rights should enable the stock exchanges to effectively curtail the level of manipulative practices in the market. SEBI has shown substantial progress in taking action against or disposing of such cases.

SEBI has investigated various instances of front-running over the past several years. The regulator thus needs to crack down quickly to demonstrate that such actions will not be tolerated. It could also consider putting in place fresh measures in terms of monitoring employees with access to confidential information and fiduciary responsibility in asset management companies and other financial

institutions (Editorial Comment, Business Standard May 10, 2022). In October 2022, the inclusion of trading in units of mutual funds in insider trading regulation was long overdue and will stop those working in fund houses from gaining unfairly from unpublished price-sensitive information.

- 10) ***Ownership and Governance of stock exchanges:*** SEBI's most significant initiative to improve the governance of stock exchanges in India was the move to separate ownership and trading rights, referred to as corporatization and de-mutualisation (C&D). The principal requirement of C&D was that all stock exchanges would be corporatized and that not less than 51 per cent of the ownership of the stock exchanges was to be held by the public other than shareholders having trading rights.
- 11) ***Compliance Enforcement:*** SEBI has been less effective in prosecutions and penalizing erring market participants for non-compliance. Some experts attribute this to the absence of specialized courts that can deal with matters involving the financial markets. This is the reason for SEBI's lack of success in securing prosecution against various offences. Financial leakages through related party transactions remain a focus area of SEBI where rules are constantly being tightened. As companies find escape routes, SEBI continues to tweak its regulations to close innovative hatches. Gaps remain, emboldening the bending of regulations. Regulations cannot plug all holes.

Index Providers: In a move to bring more transparency and structure to the market, SEBI proposes that index providers need to consider all relevant data for creating an index. It also needs to exercise enough care and caution to ensure that there is no distortion of the data. It needs to exercise due diligence in the onboarding of data submitters. And, importantly, the index provider has to ensure that the data submitters source data from only regulated entities and no other sources. With the exponential increase in the number of passive funds and the assets under management of these funds, the governance of the indices assumes greater significance (Saravanan and Banerjee, 2023).

SEBI on 29 March 2023 adopted a slew of guidelines in its quarterly board meeting. Such as the introduction of an ASBA-like mechanism for secondary trades, bonus issue of shares, removal of permanent positions in board seats, allowing private equity firms to become mutual fund sponsors, a backstop facility to help MFs during stress, a mechanism for preventing and detecting stock market frauds and the new Environment Social and Governance (ESG) norms. Some of these measures will surely improve corporate governance. For example, the removal of the permanence of board seats gives shareholders a larger say in deciding on the tenure of board members and giving the Nomination and Remuneration committees more powers.

Check Your Progress 2

- 1) How does SEBI regulate the capital market?

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- 2) Describe the structure of SEBI.

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- 3) What is the role of the Securities Appellate Tribunal (SAT)?

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- 4) Highlight SEBI's important regulations for mutual funds.

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16.6 CHALLENGES BEFORE SEBI

The massive size of illegal businesses and the huge spread of finfluencers across platforms such as Telegram, Instagram, WhatsApp, Facebook, and YouTube, make one feel that SEBI has already lost the battle to control them (Basu, 2022). Several social media influencers on YouTube, Twitter, Telegram and other platforms are disseminating financial advice without any requisite qualification to do so, which has resulted in instances detrimental to the market. There are people on social media platforms who peddle information for their benefit and need to be closely followed for their utterances. However, people who have honest opinions about stocks should be free to express their views.

The key question to be posed before regulating financial influencers is whether they are doing something dishonest. The financial influencers sometimes mislead investors. The main problem relates to advertising. Baiting people who purchase something without having proper knowledge and fail to take precautions are the sufferers in the markets. If legislation is to be made for regulating such happenings a need will arise to define the very concept of '*finfluencers*'. This will attract knowledgeable persons having genuine market insight into the purview of legislation and prevent the free flow of such information which harms the investors.

In the case of self-dealing by an investment adviser regarding suggested investments are prone to conflicts of interest and this warrants disclosures. The fintech revolution is fundamentally changing not only products and processes in the financial sector; it is also making things more challenging for financial sector regulators.

While regulations are often static or slow-moving, the lightning speed of technological changes and new business innovations at the regulatory boundaries are changing market practices rapidly. Questions are being raised about the ability of regulators to regulate the increasingly hi-tech and at times ‘decentralised’ mode of products, services and delivery innovations in the financial sector (Nair and Sahoo, 2022).

Taking timely action against violators is imperative in effectively regulating the market and in maintaining market integrity. The Fintech revolution has taken the hitherto risk factors into the realm of complete uncertainty, which as conventional wisdom tells us, cannot be regulated.

Once the regulatory text achieves an appropriate degree of precision and data are organised as needed by the experts, technical experts can take over the task of converting the language-based regulations into algorithms. Regulators need to quickly cover a lot of miles, to remain relevant in the era of tech-revolution (Nair and Sahoo, 2022).

SEBI has directed the designated depository participants (DDPs) to update the list of ultimate beneficial owners (UBOs). In India, it has been noticed that in a large number of cases, foreign portfolio investors (FPIs) are just registered vehicles, but the UBOs of their positions are hidden (Shah, 2023).

The names of the UBOs have often been a sensitive subject for the Indian stock markets since FPIs prefer to keep them hidden from the public. But the world over, the money laundering norms are forcing regulators to lift the corporate veil. SEBI has threatened the DDPs that their FPI licences will be cancelled if they do not divulge the UBOs, and their positions will have to be wound up by March 2024. SEBI has asked all the DDPs to update the details of UBOs of all the FPIs registered in India (Shah, 2023).

SEBI now wants to put the onus of prevention and detection of fraud and market abuse on the stock brokers. According to SEBI, the list of probable instances and indicators of fraud or market abuse, which a broker’s system should be equipped to monitor, should include:

- i) creation of the misleading appearance of trading,
- ii) price manipulation,
- iii) front running,
- iv) insider trading,
- v) mis-selling,
- vi) unauthorised trading, including the facilitation of ‘mule’ accounts that act as a front for unauthorised trading,

- vii) pump and dump, spoofing,
- viii) disproportionate trading activity vis-à-vis reported income, net worth, and
- ix) frequent changes in KYC submitted by clients.

(<https://www.thehindubusinessline.com/markets/SEBI-burdens-stock-brokers-with-more-compliance/article66482308.ece>)

The problem of money belonging to Indian entities being ‘round-tripped’ through shell companies in offshore tax havens is not a new one. Despite regulatory tightening over the years, loopholes are exploited to conceal the beneficial owners of the shell companies.

The problem is that many of these FPIs are structured as multi-layered entities where it is easy to conceal the ultimate owner of the company. Identification of beneficial owners was based on Rule 9 of the Prevention of Money-laundering (Maintenance of Records) Rules, 2005, wherein companies owning more than 25 per cent of the FPI or individuals, partnership firms, trusts and unincorporated associations of persons owning 15 per cent of the FPI were identified as beneficial owner (BO). In case a BO could not be identified through ownership or control, the investment manager had to be identified as the BO and his details provided to the depository.

SEBI needs to apply the ‘look through’ principle in such cases, where following the letter of law may not prove adequate. Stringent penalties should be imposed on market intermediaries abetting such fund flows; they should be banned from markets altogether. SEBI should also reduce the time given to FPIs to disclose the BO to three months (Editorial Comment, The Hindu Business Lines, 09 February 2023).

16.7 EVALUATION OF SEBI’S PERFORMANCE

SEBI is without a doubt one of India’s most powerful regulatory entities. By regulating the Indian financial industry through its various divisions, it plays a significant role in preventing big financial frauds. Notwithstanding initial handicaps, SEBI seems to have fared well. It is an autonomous and suitably empowered agency with the requisite knowledge and human resources. It has managed to design an operationally safe market and is among the most cost-competitive, leaving aside taxes. There have been very few payment crises of the kind that prevailed in the early mid-nineties. Risks in the execution of trade and counterparty risks have been eliminated to a substantial degree. India has one of the better public offering mechanisms in the world that allows for reasonable price discovery and is capable of handling huge volumes of applications, although it has cracked a few times under the onslaught of deviant market participants.

SEBI has put in place a comprehensive web of regulations that ensure a range of market participants and intermediaries have the capacity and the incentives to function well in a coordinated fashion. The disclosure system at the time of

listing as well as post-listing compares with the best in the world. The accounting rule writing and administration system has been strengthened with the establishment of NACAS. Despite some initial pushback and compromises, SEBI has rolled out a corporate governance code that is often compared with the Sarbanes Oxley Act of the USA. India scores well on the index of disclosure requirements. Similarly, SEBI fares well in terms of the powers of the supervisory authority and autonomy but ranks way below the SEC in terms of enforcement powers (Sabarinathan, 2010).

Experts attribute SEBI's regulatory effectiveness to the Board structure, the demarcation of policymaking to the members of the Board and its implementation to the executive directors. Further, its effectiveness in implementing market design reforms lies in the fact that it was "completely detached concerning the rentiers". SEBI's track record in building internal competence appears to compare favourably with that of RBI.

The recent report of the International Organisation of Securities Commissions (IOSCO) reviewing the adherence of regulators of 55 countries to its main principles is very timely. It comes as a relief for the SEBI that, concerning the IOSCO's five core principles it scores reasonably well. The five principles are (Editorial comment, The Hindu Business Line, 26 February 2023):

- i) clear and objectively stated responsibilities,
- ii) operational independence and accountability,
- iii) adequate power and resources,
- iv) clear and consistent regulatory processes, and
- v) skilled and reliable staff.

That probably explains how India's stock market weathered disasters such as the global financial crisis and the pandemic-led meltdown well. The IOSCO report has lauded SEBI for being well-funded by the fee. It is just as well that the officials of SEBI have been provided legal protection to ensure that no action can be taken against them for actions carried out in good faith.

The SEBI has played an important role in the fast-paced development of the domestic market over the last three decades, protecting investor interests, there have been some instances where the actions, or absence thereof, of the regulator have come under scrutiny (Editorial Comment, The Hindu Business line, 26 February, 2023).

16.8 SUGGESTIONS FOR MAKING SEBI EFFECTIVE

SEBI needs to reinvent itself and its regulations to control market manipulation in the digital era. In this context, three aspects are important (Editorial Comment, The Hindu Business Line, 19 May 2022):

- i) India's financial market evolves with rising retail participation, market regulations need to keep up with new products and asset classes that are springing up. Newer options such as curated stock portfolios and digital gold which are quite popular with retail investors, are in the grey zone.
- ii) The widespread use of social media platforms such as WhatsApp, Twitter and YouTube apart from apps that encrypt and instantly purge messages, are helping rogue players bypass checks, with the result that mass dissemination of false information about dodgy companies has become rampant. SEBI's regulations must be rewritten to plug this gap.
- iii) There is a need to do away with redundant regulations wherever warranted to facilitate market development. Updating laws apart, SEBI needs to keep up with new-age fraudsters and must be armed with the skillsets and regulatory powers to keep up close surveillance of communications through the digital media, call for information and carry out decryption to decipher such data.
- iv) SEBI is quite right to seek powers from the Government under the Information Technology Act, 2000 and the Information Technology (Procedure and Safeguard for Monitoring and Collecting Traffic Data or Information) Rules, to be allowed to access digital communication channels and carry out interception and decryption of such information. To keep up with scamsters, the SEBI will also have to build internal capacity and skillsets in efficiently mining surveillance data, connecting the dots and building a convincing evidence trail.

The Kotak Committee on Corporate Governance had noted that SEBI was severely under-staffed, overseeing 5,000-odd listed companies with just 800-odd staff while the US SEC had over 4,500 employees to oversee an equal number of companies. Apart from adding numerically to its workforce, SEBI must look at lateral hiring of data science and tech talent at competitive pay scales, to improve its regulatory capacity to keep up with the times.

SEBI's amendments in 2021 mark a significant departure in reporting norms for listed firms. But more needs to be done. There is an increasing investor focus on sustainability investing, shifting from finance-centric investment models to more socially and environmentally responsible long-term investing trends. As a result, the demand for Environmental, Social and Governance (ESG) investing has gained significant traction globally which focuses on non-financial factors as a metric for guiding investment decisions wherein increased financial returns are no longer the sole objective of investors. Integrating ESG disclosures with corporate governance practices of companies is becoming extremely consequential from an investment standpoint as it plays a significant role in assessing the valuation of companies (Dayal and Sawhney, 2022).

To address these issues, India needs to strengthen its corporate governance framework and implementation in both law and spirit. This requires:

- i) explaining the ties between business and politics,
- ii) increasing transparency in ownership structures,
- iii) enhancing the independence and accountability of auditors,
- iv) improving the enforcement of rules, and
- v) actions of regulators and policymakers should lead to the creation of a level playing field for all businesses, irrespective of their size or political connections.

Admittedly, SEBI should continue to strengthen its regulatory framework by pre-emptively enforcing regulations and ensuring markets for securities remain fair, transparent and trustworthy. By strengthening corporate governance, India can create a business environment conducive to long-term investment and prosperity of the country. The suggestion about setting up a common platform for dissemination of all information by mutual funds sounds like a good idea which will make it easier for investors to search for fund-related information. The judicial infrastructure in India needs improvement.

Check Your Progress 3

- 1) What are the important challenges before SEBI?
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- 2) How is SEBI working to meet the technological challenge being faced by it?
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- 3) What is SEBI's corporate governance code?
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- 4) What is sustainability investment in Environmental, Social and Governance (ESG)?
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16.9 LET US SUM UP

SEBI is a statutory regulatory body that was established by the Government of India in 1992 to protect the interests of investors investing in securities along with regulating the securities market. SEBI regulates the stock market and how mutual funds function. It promotes the development of the securities market and regulates the business. SEBI's objectives are to fulfil the needs of issuers, investors and intermediaries.

The governance of SEBI is entrusted to the SEBI board which consists of a chairman and several other full-time and part-time members. The chairman is nominated by the union government. The others include two members from the finance ministry, one member from the Reserve Bank of India and five other members are also nominated by the Centre. Further, a Securities Appellate Tribunal (SAT) has been constituted to protect the interest of entities that feel aggrieved by SEBI's decision. SAT consists of a presiding officer and two other members.

SEBI has three functions rolled into one body: *quasi-legislative*, *quasi-judicial* and *quasi-executive*. It drafts regulations in its legislative capacity, it conducts investigation and enforcement action in its executive function and it passes rulings and orders in its judicial capacity.

SEBI has introduced numerous measures to improve the efficiency of the capital market in India. By improving market efficiency, increasing transparency, and preventing unfair trade practices, SEBI has succeeded in raising the standard of the Indian capital market to the international level. Underlying this progress in the securities market have been several noteworthy institutional developments. SEBI has the power to provide licenses to dealers and brokers of the capital market. On several occasions, SEBI has taken action against front-running. Over the years, SEBI has done a good job of rewriting the rules and regulations to ensure India's stock markets and the ecosystem around it function efficiently. But some loopholes remained.

SEBI plays an important role in the following ways:

- i) Making rules for regulating the stock exchange,
- ii) Providing licenses to dealers and brokers,
- iii) Regulating mergers, acquisitions and takeovers of the companies, and
- iv) Auditing the performance of the stock market.

16.10 KEY WORDS

Application Supported : Where investor funds remain blocked in their bank by Blocked Amount (ASBA) facility accounts instead of being passed to the broker until the execution of the purchase order.

Fintech : New technology that seeks to improve and automate the delivery and use of financial services.

- Forensic audit** : It involves a deep examination of all sorts of records within an organisation to identify possible unethical or criminal behaviour.
- Front-running** : occurs when somebody utilises insider knowledge of planned future institutional transactions to take a position on their account before the institutional orders are placed.
- Index providers** : Index providers are those institutions that formulate and manage indices. The most prominent indices in India are the Nifty50 by NSE Indices, and Sensex provided by a venture of S&P Dow Jones Indices and BSE Lied.
- Insider trading** : Making profits by buying or selling a publicly traded company's stock by someone (usually an insider) with non-public, material information about that company.
- Short selling** : Short-selling is an investment strategy in which a trader speculates on the decline of a stock price using complex financial products.
- Side letters** : Side letters are agreements between a particular investor and the investment manager that provide the specific investor with different or preferential terms than those outlined in the fund's governing documents, available to other investors.
- Total expense ratio (TER)** : It is the amount that Mutual Funds proportionately charge investors for the expense incurred on a scheme.

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16.12 ANSWER/HINTS TO CHECK YOUR PROGRESS EXERCISES

Check Your Progress 1

- 1) SEBI is a market regulator officially established in the year 1988 and given autonomous and statutory powers in 1992 to protect the interests of investors in the securities market. It also regulates the functioning of the stock market.
- 2) Regulation of Stock Exchanges, investor protection, preventing fraudulent practices, developing a code of conduct, and ensuring investor's education.
- 3) The failure of the securities market could have a ripple effect on the rest of the financial system as a whole. Safeguarding investors' interest will also ensure confidence in the stock market and ultimately growth of the stock market.

Check Your Progress 2

- 1) Listing Obligations and Disclosure Requirements for Prevention of Fraud and Unfair Trade Practices Rules, shield retail investors from fraud, advanced and graded surveillance mechanisms.

- 2) Refer to Section 16.4
- 3) Securities Appellate Tribunal (SAT) has been constituted to protect the interest of entities that feel aggrieved by SEBI's decision. SAT consists of a presiding officer and two other members.
- 4) Refer to Sub-section 16.4.2

Check Your Progress 3

- 1) The massive size of illegal businesses, financial influencers, money laundering through FII, and dealing with hi-tech innovative products.
- 2) SEBI is working to build internal capacity and skillsets in efficiently mining surveillance data and building a convincing evidence trail.
- 3) Accounting rule writing and administration system.
- 4) Investors focus on sustainability investing, shifting from finance-centric investment models to more socially and environmentally responsible long-term investing trends. ESG has gained significant traction globally which focuses on non-financial factors as a metric for guiding investment decisions.

16.13 TERMINAL EXERCISES

- 1) 'To promote orderly and healthy growth of securities market and protection of investors, SEBI was set up'. With reference to this statement, describe the working of SEBI.
- 2) How will you explain the success of SEBI in regulating the Indian capital market since its inception? Amplify your answer.
- 3) 'SEBI needs to reinvent itself and its regulations to control market manipulation in the digital era'. Explain this statement and do you think SEBI's regulations need to be rewritten?
- 4) Examine how SEBI has been responsive to the needs of three groups, which constitute the market: the issuers, the investors, and the intermediaries.
- 5) How is SEBI a quasi-legislative, quasi-executive and quasi-judicial organisation? Explain with examples.
- 6) What are the multiple perspectives from which the rationale for establishing SEBI was made? Give a reason for your answer.

UNIT 17 OTHER FINANCIAL INSTITUTIONS AND REGULATIONS

Structure

- 17.0 Objectives
- 17.1 Introduction
- 17.2 Nature and Importance of Other Financial Institutions (OFIs)
- 17.3 Small Industries Development Bank of India (SIDBI)
 - 17.3.1 SIDBI's Primary Functions
 - 17.3.2 Finance Facilities Offered by SIDBI
 - 17.3.3 Importance of SIDBI
- 17.4 Export-Import Bank of India (EXIM Bank)
 - 17.4.1 Financing Functions and Facilities
- 17.5 National Bank for Agriculture and Rural Development (NABARD)
- 17.6 Infrastructure Finance
- 17.7 National Bank for Financing Infrastructure and Development (NaBFID)
- 17.8 India Infrastructure Finance Company Ltd (IIFCL)
- 17.9 Infrastructure Leasing & Financial Services Limited (IL&FS)
- 17.10 Power Finance Corporation Ltd. (*PFC*)
- 17.11 Rural Electrification Corporation Ltd. (*REC*)
- 17.12 National Housing Bank (NHB)
- 17.13 Tourism Finance Corporation of India (TFCI)
- 17.14 Insurance Sector
 - 17.14.1 Life Insurance Corporation of India (LIC)
 - 17.14.2 General Insurance Companies (Non-life Insurance)
- 17.15 Mutual Funds
- 17.16 Let Us Sum Up
- 17.17 Key Words
- 17.18 Some Useful Books/References
- 17.19 Answer/Hints to Check Your Progress Exercises
- 17.20 Terminal Questions

17.0 OBJECTIVES

After completing this unit, you will be able to:

- highlight the heterogeneity of other financial institutions (OFIs) institutions as they serve specific sectors of the economy;

- describe functions of EXIM Bank, SIDBI, NABARD;
- discuss role of NaBFID, IIFCL and IL&FS in financing infrastructure projects;
- point out the importance of investment institutions like LIC and Non-life insurance institutions;
- explain the significance of TFCI in promoting tourism in the country; and
- narrate the importance of mutual funds in the financial system.

17.1 INTRODUCTION

As discussed in Unit 2, financial intermediation in India is conducted by a wide range of financial institutions. The Reserve Bank of India is the apex institution of the financial system. However, there are other financial institutions (OFIs) also like NaBFID, NABARD, SIDBI, EXIM Bank, NHB etc. which play a very important role in regulating different aspects of the financial system. This unit examines the structure and evolution of the OFIs over the past six decades. The unit concentrates on the ‘*organized*’ segment of the OFIs which includes sector-specific financial institutions, and investment institutions e.g., insurance companies (life and non-life) and mutual funds.

17.2 NATURE AND IMPORTANCE OF OTHER FINANCIAL INSTITUTIONS (OFIs)

In India’s ‘*organised*’ sector there exists a wide range of other financial institutions. The role of OFIs is to recognise the gaps in institutions and markets in the financial sector and act as a gap-filler. OFIs can be classified into two broad categories of institutions based on their area of operation: *Sector-specific financial institutions* and *Investment Institutions*. The various measures of developmental finance indicate that the OFI are playing an increasingly active role in the transfer of funds from the surplus to the deficit sectors in the economy. These financial institutions obtain their resources partly from the Government and partly as loans or refinancing from the capital market. The assistance provided by these institutions is quantitatively important. The Government used these institutions for the achievements in planning and development of the nation as a whole. The structure and evolution of OFIs are aimed at ensuring the flow of finance in desired directions and in particular to priority areas of development such as infrastructure, agriculture, small industries and backward areas; thus, assisting in the accomplishment of desired goals.

OFIs can be classified into two broad categories of institutions as per their area of operation:

- 1) Sector-specific financial institutions: Small Industries Development Bank of India (SIDBI); Export-Import Bank of India (EXIM Bank); National Bank for Agriculture and Rural Development (NABARD); National Bank for Financing Infrastructure and Development (NaBFID), India Infrastructure Finance Company Ltd. (IIFCL), Infrastructure Leasing & Financial Services (IL&FS); National Housing Bank (NHB); Power Finance Corporation (PFC); Rural Electrification Corporation (REC); Tourism Finance Corporation of India (TFCI).
- 2) Investment Institutions: Life Insurance Corporation of India (LIC), General Insurance Companies and Mutual Funds.

17.3 SMALL INDUSTRIES DEVELOPMENT BANK OF INDIA (SIDBI)

SIDBI is the primary financial institution for promoting, developing and financing the MSME (Micro, Small and Medium Enterprise) sector and coordination of the functions of the various institutions engaged in similar activities. It is an independent financial institution established on 2nd April 1990 under the Small Industries Development Bank of India Act 1989 as a subsidiary of the Industrial Development Bank of India (IDBI turned into a commercial bank as IDBI Bank). Currently, The GoI and 22 other PSBs/FIs/Insurance Companies, owned or under the authority of the Central Government, hold shares of the IDBI [GoI (20.85%), SBI (15.65%), LIC (13.33%), NABARD (9.36%), PNB (5.96%), others (34.85%)]. SIDBI acts as the principal financial institution for the promotion, financing and development of the MSMEs sector and also coordinates the functions of the institutions engaged in similar activities. SIDBI's Head Office is in Lucknow.

17.3.1 SIDBI's Primary Functions

SIDBI's primary functions are:

- i) Providing finance for the growth and development of micro, small and medium-scale enterprises (MSMEs). SIDBI also promotes cleaner production and energy efficiency. It helps MSMEs in acquiring the funds they require to grow, market, develop and commercialise their technologies and innovative products.
- ii) Refinancing loans and advances provided by the existing lending institutions to small-scale units.
- iii) The SIDBI provides several schemes and also offers financial services and products for meeting the individual requirements of various businesses.

17.3.2 Finance Facilities Offered by SIDBI

It offers the following facilities to its customers:

- 1) *Direct finance* offers working capital assistance, term loan assistance, foreign currency loans, support against receivables, equity support, energy saving schemes for the MSME sector, etc.
- 2) *Indirect finance* offers indirect assistance by providing refinance to PLIs (Primary Lending Institutions), comprising commercial banks, State Level Financial Institutions, etc. with an extensive branch network across the country. The key objective of the refinancing scheme is to raise the resource position of Primary Lending Institutions that would ultimately enable the flow of credit to the MSME sector i.e. microfinance institutions.
- 3) It discounts and rediscounts bills.
- 4) The Ministry of MSMEs and SIDBI, established a trust named Credit Guarantee Fund Trust for Micro and Small Enterprises (CGTMSE) to implement the Credit Guarantee Scheme (CGS). The scheme was formally launched on August 30, 2000.

17.3.3 Importance of SIDBI

As an apex institution, SIDBI is playing a proactive role in reaching out to MSMEs by extending financial and developmental support services to MSMEs. Its importance can be described as follows:

- i) It helps in expanding marketing channels for the products of MSMEs both in the domestic as well as international markets.
- ii) It offers services like factoring, leasing etc. to the industrial concerns in the MSME sector.
- iii) It promotes employment-oriented industries, particularly in semi-urban areas for creating employment opportunities and thus checking relocation of people to the urban areas.
- iv) It also initiates steps for modernisation and technological up-gradation of current units.
- v) Policies are framed for customised loans as per the requirements of businesses. If the requirement doesn't fall into the ordinary and usual category, SIDBI would assist funding in the right way. Credit and loans are modified as per the size of the business as well. Its processes and rate structure are transparent. There aren't any hidden charges.
- vi) It offers various schemes which have concessional interest rates and comfortable terms. It has a tie-up with several banks and financial institutions the world over e.g. World Bank and the Japan International Cooperation Agency and could offer concessional interest rates.

- vii) The SIDBI formally institutionalized the micro-credit programme by setting up a specialized department called SIDBI Foundation for Micro Credit (SFMC) in 1999 as the “Institutional Answer” to the huge unmet demand for microfinance. Its microfinance programme is perceived as a “Credit Plus” programme and hence, does not restrict itself to funding alone. But also provide capacity-building grants as well.
- viii) SIDBI extends Nodal Agency services to the Government of India for schemes sponsored by various Ministries to encourage the implementation of modernisation and technology upgradation projects by manufacturing units in the MSME sector.

Check Your Progress 1

- 1) Discuss the nature and importance of OFIs.

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- 2) Explain the financing activities of SIDBI.

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- 3) Describe its importance in financing MSMEs.

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17.4 EXPORT-IMPORT BANK OF INDIA (EXIM BANK)

Export-Import Bank of India (EXIM Bank) was established on January 1, 1982, under the EXIM Bank of India Act 1981 to provide financial assistance to exporters and importers, and function as the principal financial institution for co-ordinating the working of institutions engaged in financing export and import of goods and services to promote the country’s international trade and for matters connected therewith or incidental thereto. Its headquarters is in Mumbai. Since its inception, it has been the principal financial institution in the country for financing project exports and exports on deferred credit terms. Exim Bank has two broad business streams:

- i) the traditional export finance typical of export credit agencies around the world, and

- ii) financing of export-oriented units (export capability creation), which are non-traditional for export credit agencies.

17.4.1 Financing Functions and Facilities

Exim Bank extends funded and non-funded facilities for overseas turnkey projects, civil construction contracts, technical and consultancy service contracts as well as supplies. Under powers delegated vide the PEM, it provides post-award clearance for project export contracts valued up to USD 100 million. It also plays the role of a financier and provides funded and non-funded support for project export contracts of Indian Entities. The bank lays special emphasis on the extension of Lines of Credit (LOCs) to overseas entities, national governments, regional financial institutions and Commercial Banks. *A Line of Credit (LoC)* is a financing mechanism through which Exim Bank extends support for the export of projects, equipment, goods and services from India. LOC provides a safe mode of non-recourse financing option for Indian exporters to enter new export markets or expand business in existing export markets without any payment risk from overseas importers. Exim Bank extends LoCs on its own and also at the behest and with the support of the Government of India.

EXIM Bank provides financing facilities for Indian companies executing contracts overseas in the form of pre-shipment credit, supplier's credit, export of projects, consultancy, technological services, and guarantee facilities. Similarly, for overseas entities financing takes the form of buyer's credit. In addition to these, it extends export credit to export-oriented units, including research and development (R&D) finance. It provides working capital finance by way of pre-shipment credit and post-shipment credit.

Finance for MSMEs: There are services that Exim Bank offers to support Small and Medium Enterprises. It has arranged for a credit line from the Asian Development Bank (ADB) for providing foreign currency term loans to the MSME borrowers in certain specific lagging states of India, viz. Assam, Madhya Pradesh, Orissa, Uttar Pradesh, Chhattisgarh, Jharkhand, Rajasthan and Uttarakhand. In the MSME segment, Exim Bank has introduced a Programme specifically for financing the Creative Economy. The Creative Industries are those industries which have their origin in individual creativity, skill and talent and which have a potential for wealth and Job creation through the generation and exploitation of intellectual property viz., Advertising, Architecture, Art and Antiques Market, Crafts, Design, Designer Fashion, Film and Video, Interactive Leisure Software, Music, Performing Arts, Publishing, Software and Computer Services, Television and Radio etc. The EXIM Bank extends financial support to promote grassroots initiatives/technologies, particularly those having export potential.

The EXIM Bank has fostered a network of alliances and institutional linkages with multilateral agencies, export credit agencies, banks and financial

institutions, trade promotion bodies, and investment promotion boards to help create an enabling environment for supporting trade and investment. The Global Network of Exim Banks and Development Finance Institutions (G-NEXID) was set up in Geneva in March 2006 through the Bank's initiative, under the auspices of UNCTAD. EXIM-Mitra was created by EXIM bank to promote digital India, a one-stop solution for all export and import needs. It is an online platform to deliver trade-related information and provides access to insurance for exporters and importers.

17.5 NATIONAL BANK FOR AGRICULTURE AND RURAL DEVELOPMENT (NABARD)

NABARD, an apex institution in the field of refinancing activities in agriculture and rural development, was established under an Act 61 of 1981. The formation of NABARD was approved by the Parliament through Act 61 of 1981. NABARD came into existence on 12 July 1982 by transferring the agricultural credit functions of RBI and refinance functions of the then Agricultural Refinance and Development Corporation (ARDC). Consequent to the revision in the composition of share capital between the Government of India and RBI, NABARD today is fully owned by the Government of India.

The NABARD has been recognized as the apex institution for agricultural finance. As the name suggests, the bank has been set up not only for agricultural finance but also for the development of rural areas. The main objective of NABARD can be brought under three major heads:

- i) Credit function.
- ii) Development function.
- iii) Promotional function.

Credit functions: Framing policy and guidelines for rural financial institutions, providing credit facilities to issuing organizations, monitoring the flow of ground-level rural credit, and preparing credit plans annually for all districts for identification of credit potential. The bank is providing short-term, medium-term and long-term loans for agriculture and rural development.

- i) **NABARD provides refinancing facilities** to Commercial banks, State cooperative banks, Central Co-operative banks, Regional rural banks and Land Development banks.
- ii) It provides refinancing to agriculture, small-scale industries and other village and cottage industries by lending to commercial banks.
- iii) The bills of commercial and cooperative banks are discounted to enable them to finance agricultural operations.
- iv) The bank provides funds to State governments for undertaking developmental and promotional activities in rural areas. To promote rural development and to help the weaker sections, the bank refinances

especially regional rural banks which are set up in backward areas in most of the States.

- v) Towards long-term loans, the bank is providing loans to institutions involved in long-term agricultural loans against the guarantee of the State government.
- vi) The bank is also financing research and development of agricultural and rural industries.
- vii) The bank provides finance for promoting non-farm activities and employment in non-farm sectors to reduce rural unemployment.

Development and promotional functions: NABARD helps cooperative banks and Regional Rural Banks (RRBs) to prepare development action plans for themselves. It also helps RRBs and their sponsor commercial banks to enter into MoUs with state governments and cooperative banks to improve their operations. NABARD also monitors the implementation of development action plans of commercial banks. It provides financial support for the training institutes of cooperative banks, commercial banks and Regional Rural Banks along with providing financial assistance to cooperative banks for building improved management information systems, computerisation of operations and development of human resources. NABARD has opened branches at all District headquarters by which it coordinates the district development programmes along with the district officials. NABARD implements the policy of the Central Government and the RBI about agricultural credit. It helps in the annual credit plan of the commercial banks and co-ordinates the activities of commercial and cooperative banks at the district level. During natural calamities, such as droughts, crop failure and floods, the bank helps by refinancing to commercial and cooperative banks so that the farmers tide over their difficult period.

Supervisory Functions: NABARD undertakes inspection of Regional Rural Banks (RRBs) and Cooperative Banks (other than urban/primary cooperative banks) under the provisions of the Banking Regulation Act, of 1949. It inspects State Cooperative Agriculture and Rural Development Banks (SCARDBs) and apex non-credit cooperative societies voluntarily. It makes recommendations to RBI on the issue of licenses to Cooperative Banks and, the opening of new branches by State Cooperative Banks and Regional Rural Banks (RRBs). It initiates portfolio inspections besides off-site surveillance of Cooperative Banks and Regional Rural Banks (RRBs).

Role and importance of NABARD: Ever since the setting up of NABARD, there has been a considerable increase in the distribution of agricultural credit both by commercial and cooperative banks. NABARD has also strengthened the working of Regional Rural Banks. After the setting up of NABARD, there has been a considerable increase in the rural finance and **development of small-scale and cottage industries**. NABARD has played a significant **role in improving storage facilities for agricultural commodities** in the country.

It has promoted the export of agricultural commodities which include vegetables and fruits. It has played a supplementary role in sustaining the Green Revolution in the country. *White Revolution and Blue Revolution* in the form of increased milk production and fisheries have also been contributed by the sustained efforts of NABARD. It also promotes research in rural banking in the field of agriculture and rural development.

Check Your Progress 2

- 1) Explain the significance of EXIM Bank in the field of international trade.
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- 2) What are the schemes of EXIM Bank to provide finance for promoting exports?
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- 3) Describe the role of NABARD as an apex institution for financing agriculture.
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17.6 INFRASTRUCTURE FINANCE

By the early 1990s, it was recognized that there was a need for financial institutions to directly access the capital markets for their funds to finance infrastructure projects. Thus, several infrastructure finance companies were set up. Some of them have become fully private like ICICI while others have been partly privatised like REC and PFC. Besides several private companies have recently become big players in the infrastructure financing space like SREI, L&T Finance etc. The scope for these companies is immense if they decently manage their assets-liabilities.

17.7 NATIONAL BANK FOR FINANCING INFRASTRUCTURE AND DEVELOPMENT (NaBFID)

The need for establishing a dedicated financial institution to address the long-term infrastructure financing requirements in India was realized considering the nation's GDP growth objectives and the role of infrastructure development towards the same. In response to this need, the National Bank for Financing

Infrastructure and Development Act, 2021 was passed by the Parliament in March 2021. It has come into force effective April 19, 2021. Reserve Bank of India (RBI) vide its letter dated March 8, 2022 has advised that NaBFID shall be regulated and supervised by RBI as an All India Financial Institution (AIFI) under sections 45L and 45N of the RBI Act, 1934, respectively.

The significance of NaBFID lies in its potential to play a key role in financing large infrastructure projects beyond power and telecom and provide a more stable source of funding. This is expected to not only stimulate economic development and employment creation but also improve the efficiency and transparency of infrastructure development in the country, through the adoption of best practices across project lifecycles.

NaBFID will also work towards developing a deep and liquid market for bonds, loans, and derivatives for infrastructure financing. It will specifically facilitate the development of relevant electronic and negotiated markets, enabling fair and accessible trade and exchange.

NaBFID is expected to provide a supporting, technology-enabled ecosystem across the life-cycle of infrastructure projects as a provider, enabler, and catalyst for infrastructure financing. NaBFID will work towards directly or indirectly lending, investing, and attracting investments from private sector investors and institutional investors for infrastructure projects located entirely or partly in India. The harmonized list of sectors prescribed by the Central Government includes Transport and Logistics (Roads, Ports, Airports, Railways, Inland Waterways), Energy, Water and Sanitation, Communication, and Social and Commercial Infrastructure.

The instruments and services extended to fund such project financing requirements will be subject to the NaBFID Lending Rate (NLR) as applicable, and will range across the following types, expanding with time and market demand:

- Term Loans (Greenfield, brownfield, etc.)
- Bonds or Debentures
- Guarantees (Bid bonds, mobilization/advance payment guarantees, performance guarantees)
- Letter of Comfort (Capex LC)

Additionally, NaBFID will provide equity investment opportunities through:

- Investment Trusts,
- Bond subscription services,
- Specific structured products for project development, and
- ESG-focused lending.

NaBFID is also committed to the development of various bonds and derivative markets, including domestic capital bonds, foreign currency bonds, and green bonds - while ensuring investor protection and the implementation of robust adjudication systems.

17.8 INDIA INFRASTRUCTURE FINANCE COMPANY LTD. (IIFCL)

IIFCL is a wholly-owned Government of India company set up in 2006 to provide long-term finance to viable infrastructure projects through the *Scheme for Financing Viable Infrastructure Projects through a Special Purpose Vehicle* broadly referred to as SIFTI.

The sectors eligible for financial assistance from IIFCL broadly include transportation, energy, water, sanitation, communication, and social and commercial infrastructure. IIFCL has been registered as a NBFC-ND-IFC with RBI since September 2013.

Financing activities: IIFCL offers its financial support to the infrastructure sector through the following products/services:

- i) As part of a consortium, IIFCL provides long-term funds to commercially viable infrastructure projects, taking an exposure of up to 20% of Total Project Cost (including Subordinate Debt, if any). In the case of PPP projects that have the provision of compulsory buyback by the authority on termination, IIFCL may offer a loan with a tenor longer than other lenders and remain the sole lender, if necessary, after other lenders are paid out.
- ii) IIFCL provides subordinate debt up to 10% of the project cost (as part of its exposure of up to 20% of Total Project Cost). This type of debt is typically treated as Quasi-Equity by lenders.
- iv) *The Takeout Finance Scheme* is aimed at addressing the Asset Liability Mismatch and exposure constraints faced by banks by taking out loans from the books of the commercial banks. This helps banks to free up their funds for investing in newer infrastructure projects. IIFCL can lend up to 30% of the Total Project Cost (including Direct Lending).
- v) Under the *Credit Enhancement Scheme* partial credit, IIFCL provides a guarantee to enhance the credit rating of bonds issued by infrastructure companies to AA or higher for refinancing of existing loans. IIFCL can undertake credit enhancement to the extent of 20% of the Total Project Cost (40% of the Total Project Cost with backstop guarantor) subject to a maximum of 50% of the total amount of Project Bonds. Credit enhancement enables channelization of long-term funds from investors like insurance and pension funds in such bonds. Asian Development Bank (ADB) is providing a backstop guarantee facility to IIFCL for up to 50% of IIFCL's underlying risk.

- vi) IIFCL provides refinance to commercial banks and other eligible financial institutions (FI's) for their loans to infrastructure projects.

Sources of Funding: IIFCL raises funds through long-term resources from both domestic as well as global markets. IIFCL has also established strong relationships with multilateral institutions like the Asian Development Bank, World Bank, KfW (a German government-owned development bank) and European Investment Bank (EIB) and has committed lines of credit. These relationships with multilateral institutions have helped IIFCL in raising long-term resources. The relationships with multilateral institutions have helped IIFCL in raising long-term resources.

17.9 INFRASTRUCTURE LEASING & FINANCIAL SERVICES LIMITED (IL&FS)

IL&FS is one of India's leading infrastructure development and finance companies. Its central mandate is catalysing the development of innovative world-class infrastructure in the country. From concept to execution, IL&FS houses the expertise to provide the complete array of services necessary for successful project completion: visioning, documentation, development, finance, management, technology and execution. For over three decades, it has focused on commercializing infrastructure projects and creating value-added financial services to become a proactive partner in India's growth story. It develops high-quality infrastructure and financial solutions to catalyze India's growth. Widely acknowledged as the pioneer of Public Private Partnership (PPP) in India, the IL&FS Group has, through a variety of projects, benchmarked the private sector's role in and commitment towards infrastructure development in India. With strong core skills across its distinct businesses, the IL&FS group has spread its expertise nationwide in widely varied sectors including roads, water, power, ports, area development and social and environmental infrastructure. Through its financial services verticals, it is continuously engaged in developing innovative, layered and competitive financial solutions for infrastructure development. With benchmark projects in each sector, it has established specific, replicable, stand-alone, scalable prototypes for developing self-sustaining infrastructure projects.

Sources of funding: IL&FS was formed in 1987 as an 'RBI-registered Core Investment Company' by three financial institutions, namely the Central Bank of India, Housing Development Finance Corporation (HDFC) and Unit Trust of India (UTI), to provide finance and loans for major infrastructure projects. Gradually, as the organization needed better financing, it additionally opened itself to two large international players, namely Mitsubishi (through Orix Corporation Japan) and the Abu Dhabi Investment Authority. Subsequently, Life Insurance Corporation India, Orix and ADIA became its largest shareholders, a pattern that continues to this day. Currently, its institutional shareholders include the Life Insurance Corporation of India (LIC), ORIX and Abu Dhabi Investment Authority, with small shareholdings by a few Indian banks State Bank of India (SBI) was a

shareholder till 2017, after which it sold its stake in the company. A few foreign investors including Green-spring associates remain investors in its subsidiary companies, especially IL&FS transportation and IL&FS infrastructure services.

Role and importance of IL&FS: IL&FS infrastructure development initiatives have been sectorally and geographically diverse. It has strategic relations with governments in almost all the states and various departments of the Central Government and Union Territories have helped widen the IL&FS Group's national footprint. Its international presence includes offices in Singapore, Spain, London and Dubai, as well as strong network partners in the USA, Tokyo, Philippines and Abu Dhabi.

17.10 POWER FINANCE CORPORATION LTD (PFC)

PFC, established in July 1986, is under the administrative control of the Ministry of Power. PFC was conferred the title of a 'Maharatna CPSE' in Oct., 2021, and was classified as an Infrastructure Finance Company by the RBI on 28th July, 2010. It is a Government of India undertaking Financial Institution dedicated to power sector financing and committed to the integrated development of the power and associated sectors by channeling the resources and providing financial, technological, and managerial services for ensuring the development of economic, reliable and efficient systems and institutions for sustainable development of the Indian Power Sector. Its clientele consists of State Electricity Boards, State Power Utilities, State Electricity/Power Departments, and Other State Departments engaged in the development of power projects, Central Power Utilities, Joint Sector Power Utilities, Equipment Manufacturers; and Private Sector Power Utilities. As the fund requirements for the power sector are enormous and many funding agencies insist on a guarantee by an Indian Financial Institution, PFC has started providing guarantee services subject to its satisfaction with the borrowers' credibility.

17.11 RURAL ELECTRIFICATION CORPORATION LTD (REC)

Rural Electrification Corporation Ltd. was incorporated on July 25 1969 in New Delhi. In the year 1970, the company commenced lending operations to SEBs. REC was accorded Miniratna Grade-I Status in 2002 and thereafter conferred with Navratna status in May 2008. REC was categorised as an Infrastructure Finance Company (IFC) by Reserve Bank of India (RBI) in September 2010. *REC has been accorded with the status of a 'Maharatna' Central Public Sector Enterprise on September 21, 2022.* As on March 31, 2024 REC has a net worth of over Rs 78,783 crore. It is engaged in the financing and promotion of transmission distribution and generation projects throughout India. Their main objective of REC is to finance and promote rural

electrification projects all over the country. REC provides financial assistance to State Electricity Boards, State Government Departments, and Rural Electric Cooperatives for rural electrification projects sponsored by them through its extensive network of 23 offices across the country. It primarily offers long-term loans, medium-term loans, short-term loans, debt refinance, and equity and equipment finance, as well as coal mine finance. The Project Offices in the States coordinate the programmes of REC's financing with the concerned SEBs/State Power Utilities and facilitate in formulation of schemes for loan sanction and disbursement and implementation of schemes by the concerned SEBs/ State Power Utilities.

17.12 NATIONAL HOUSING BANK (NHB)

The National Housing Bank was established under section 6 of the National Housing Bank Act (1987). The bank started its operations in July 1988. Its headquarters is in New Delhi. It is the apex institution of housing finance in India and was set up as a wholly-owned subsidiary of the RBI. The primary function of NHB is to register, and supervise HFCs. It also provides refinance to HFCs, SCBs, RRBs and cooperative sector institutions for housing loans and directly lends (project finance) to borrowers in the public and private sectors to extend financial support to the housing programmes for the unserved and under-served segments of the population.

17.13 TOURISM FINANCE CORPORATION OF INDIA (TFCI)

TFCI has been formed as an All India Financial Institution, under the recommendations of the “*National Committee on Tourism*” constituted by the Planning Commission. The main objective of TFCI is to expedite the growth of tourism infrastructure in the country by providing a dedicated line of credit on a long-term basis to tourism-related projects in the country. Accordingly, TFCI was set up in 1989. The responsibility for setting up TFCI was initially entrusted to IFCI Ltd. in partnership with other All India Financial Institutions and Banks. TFCI raises long-term resources from the market by way of the Issue of Bonds besides utilising internal accruals.

TFCI has successfully been playing the role of investment catalyst for viable projects in tourism sector and other related sectors and plays a dominant role in creating tourism infrastructure in the country. It, as a specialised financing institution, has contributed significantly in terms of the creation of tourism infrastructure throughout the country thereby generating direct employment opportunities. It provides financial assistance by way of rupee loans, subscriptions to equity/debentures and corporate loans mainly to hotel projects, amusement parks, ropeways, multiplexes, restaurants etc. To diversify in other related areas, TFCI has expanded the scope of its activities by including financing of infrastructure projects, real estate projects and manufacturing projects to a limited extent, within the scope of its activities.

Check Your Progress 3

- 1) Give a brief account of IL&FS.

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- 2) Discuss the role of NFB

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- 3) Describe the importance of TFCL.

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17.14 INSURANCE SECTOR

Insurance means compensation for financial loss. It is a monetary instrument, which reduces the financial risks in the events of eventualities, and provides financial safety. The insurance sector is a colossal one. A well-developed and evolved insurance sector is a boon for economic development as it provides long-term funds for infrastructure development at the same time strengthening the risk-taking ability of the country. Insurance companies generally function on two-dimensional landscapes which include (a) underwriting activity which is mainly centered on collecting premiums and honouring claims, and (b) investment activity which is meant to dispense assets into various investments.

Importance of the insurance sector: Insurance capital and reserves are paramount hotspots of money finances of the economy. The insurance industry in India is playing an important role in the advancement of capital markets, providing finance to companies and governments and bringing forward the mechanisms for corporate control and risk management. Insurance companies additionally decrease dependence on the banking system and act as shock absorbers. Insurers have a counter-cyclical and settling impact on the economy. Insurance companies' investment operations are influenced by up and down in internal as well as external factors. The changing market and regulatory environment stimulate insurance companies to invest not only in government securities and money market instruments but also in stocks which make them vulnerable to high risks. Therefore, insurers should have robust risk and investment management frameworks to deliver superior risk-adjusted returns to customers. The investment portfolio of insurance companies encompasses an extensive range of securities.

The Insurance industry in India is subjected to a comprehensive set of rules and regulations. Investment activities of insurance firms have important macroeconomic consequences for the allocation of funds between different sectors of the economy. No company can introduce a new product before getting prior approval from Insurance Regulatory and Development Authority of India (IRDA). IRDA regulations specify the amounts of their invested assets in government securities, approved investments and other investments. Because of these regulations, insurance companies are unable to utilize their fund according to their discretion. Most of the investment has been in fixed-income securities, particularly in government securities.

The insurance industry of India consists of 57 insurance companies of which 24 are in the life insurance business and 33 are non-life insurers. Among the life insurers, Life Insurance Corporation (LIC) is the sole public sector company. Apart from that, among the non-life insurers, there are five public sector insurers- Agriculture Insurance Co. of India Ltd., National Insurance Co.Ltd., New India Assurance Co. Ltd, Oriental Insurance Co.Ltd., and United India Insurance Co.Ltd. In addition to these, there is a sole national re-insurer, namely, General Insurance Corporation of India (GIC Re). Other stakeholders in the Indian Insurance market include agents (individual and corporate), brokers, surveyors and third-party administrators servicing health insurance claims.

17.14.1 Life Insurance Corporation of India (LIC)

The LIC had a monopoly in life insurance sector till the late 90s when the Insurance sector was reopened for the private sector. LIC is an Indian state-owned insurance group and investment company headquartered in Mumbai. It is the largest insurance company in India. Insurance behemoth Life Insurance Corporation of India (LIC) is the fourth largest insurer in the world, according to a ranking based on life and accident & health reserves of companies in 2022 by S&P Global Market Intelligence. LIC offers a variety of Insurance products to its customers. LIC is the only public sector company which existed in both the pre and post-reform periods.

Insurance Regulatory and Development Authority of India (IRDA)

Following the recommendations of the Malhotra Committee report, in 1999, the *Insurance Regulatory and Development Authority* (IRDA) was constituted as an autonomous body to regulate and develop the insurance industry. The IRDA was incorporated as a statutory body in April 2000. The key objective of the IRDA is to promote competition to enhance customer satisfaction through increased consumer choice and lower premiums while ensuring the financial security of the insurance market. The IRDA opened up the market in August 2000 with the invitation for applications for registrations. The Indian life insurance industry has experienced major changes in terms of market structure, size and operational practices. Life insurance companies' investments are categorised as linked investments, non-linked investments and

shareholders' investments. The regulations prescribe a combination of measuring investment at market value and amortized cost.

17.14.2 General Insurance Companies (Non-Life Insurance)

Non-life insurance is any type of insurance other than life insurance. Non-life insurance may cover people, property or legal liabilities. Non-life insurance is a broad category. The insurance which is done for physical properties other than human life is known as non-life insurance. Insurance contracts that do not come under the ambit of life insurance are called general insurance. Non-life insurance is taken as a means of providing financial protection for building, machinery, equipment, furniture, and vehicle and merchandise items against the risk of fire, earthquake, accident and theft. Like life insurance, general insurance products come at a price in the form of a premium. Insurance achieves both risk transfer and risk reduction.

In December 2000, the subsidiaries of the General Insurance Corporation of India were restructured as independent companies and at the same time GIC was converted into a national re-insurer. Parliament passed a bill de-linking the four subsidiaries from GIC in July 2002. Non-life or general insurance companies' contracts are short-term in nature and the liquidity needs of non-life companies are much higher. Thus, the investible funds of general insurance companies chop and change broadly. Therefore, the investment portfolio of the general insurer should be managed prudently to enable the company to meet the increasing costs of business operations.

17.15 MUTUAL FUNDS

A mutual fund is a professionally managed investment scheme, usually run by an asset management company that brings together a group of people and invests their money in stocks, bonds and other securities. There are various kinds of mutual funds with a specific goal set. The Securities and Exchange Board of India (SEBI) has categorised mutual funds in India under four broad categories:

- i) *Equity Mutual Funds*: An equity fund is a mutual fund that invests principally in stocks. It can be actively or passively (index fund) managed. Equity funds are also known as stock funds. Stock mutual funds are principally categorized according to company size, the investment style of the holdings in the portfolio and geography. Equity funds aim to generate high returns by investing in the shares of companies of different market capitalization. They generate higher returns than debt funds or fixed deposits.
- ii) *Debt Mutual Funds*: They mainly invest in a mix of debt or fixed-income securities such as Treasury Bills, Government Securities, Corporate Bonds, Money Market instruments and other debt securities of different

time horizons. Generally, debt securities have a fixed maturity date and pay a fixed rate of interest.

- iii) *Hybrid Mutual Funds*: Hybrid Funds are mutual funds that provide a combination of more than one underlying investment asset class, such as stocks, bonds or cash. These funds typically invest in a mix of stocks and bonds. They may also be known as asset allocation funds.
- iv) *Solution-oriented Mutual Funds*: These funds are open-ended schemes created mainly for long-term planning. This category is characterized by a portfolio that is made up of a mix of equity stocks and bonds and will suit investors looking for debt-plus returns with higher levels of risk than fixed-income schemes.

Mutual Fund Organisations (MFOs) with huge resources of investments of public and a team of experts in their employee roll analyse investment opportunities in various securities, bonds and financial investments. Based on the appraisal made by the specialists, investment decisions in the capital market to buy/sell the securities are taken. The Mutual Funds are subject to SEBI regulations and they are monitored and inspected by SEBI.

Check Your Progress 4

- 1) What is the significance of the insurance sector?
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- 2) Explain the various kinds of investment institutions operating in India.
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- 3) Describe the different forms of Mutual Funds.
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17.16 LET US SUM UP

Besides setting up several institutions, a large number of other financial institutions (OFIs) cater to the needs of finance. OFIs can be classified into two broad categories of institutions as per their area of operation: Sector-specific financial institutions and Investment Institutions. One of the OFIs is SIDBI. It is the primary financial institution for promoting, developing and

financing the MSME (Micro, Small and Medium Enterprise) sector and coordination of the functions of the various Institutions engaged in similar activities. **SIDBI** also extends Nodal Agency services to the Government of India for schemes sponsored by various Ministries to encourage the implementation of modernisation and technology upgradation projects by manufacturing units in the MSME sector. Another institution: **EXIM Bank** provides financial assistance to exporters and importers, and is responsible for functioning as the principal financial institution for coordinating the working of institutions engaged in financing the export and import of goods and services to promote the country's international trade. In this unit, we also discussed **NABARD**. The NABARD has been recognized as the apex institution for agricultural finance and development of rural areas. **IIFCL** is a wholly-owned Government of India company set up in 2006 to provide long-term finance to viable infrastructure projects through the Scheme for Financing Viable Infrastructure Projects through a Special Purpose Vehicle broadly referred to as SIFTI. **IL&FS** develops high-quality infrastructure and financial solutions to catalyze India's growth. **PFC** is engaged in power sector financing and committed to the integrated development of the power and associated sectors by channelling the resources and providing financial, technological, and managerial services. **REC** is engaged in the financing and promotion of transmission distribution and generation projects throughout India. Their main objective is to finance and promote rural electrification projects all over the country. The primary function of **NHB**, an apex institution of housing finance in India is to register, regulate and supervise HFCs. The main objective of **TFCI** is to expedite the growth of tourism infrastructure in the country by providing a dedicated line of credit on a long-term basis to tourism-related projects in the country. The insurance industry in India is playing an important role in the advancement of capital markets, providing finance to companies and governments and bringing forward the mechanisms for corporate control and risk management. One of the prominent insurance companies is LIC. LIC is an Indian state-owned insurance group and investment company that offers a variety of Insurance products to its customers.

A mutual fund is a professionally managed investment scheme, usually run by an asset management company that brings together a group of people and invests their money in stocks, bonds and other securities. There are various kinds of mutual funds with a specific goal set.

17.17 KEY WORDS

Credit Rating Agency : A credit rating agency (CRA, also called a rating service) is a company that assigns credit ratings, which rate a debtor's ability to pay back debt by making timely principal and interest payments and the likelihood of default. Indian credit rating industry mainly comprises CRISIL, ICRA, CARE, ONICRA, FITCH and SMERA.

- Customized loans** : The goal is to design a customized credit strategy to meet the needs of a particular firm or business.
- Direct finance** : Direct finance is a method of financing where borrowers borrow funds directly from the financial market without using a third-party service, such as a financial intermediary.
- Indirect finance** : Indirect finance is where borrowers borrow funds from the financial market through indirect means, such as through a financial intermediary.
- Institutional investors** : These are entities that pool together funds on behalf of others and invest those funds in a variety of different financial instruments and asset classes.
- Microfinance** : Microfinance, also known as microcredit, is a financial service that offers loans, savings and insurance to entrepreneurs and small business owners who don't have access to traditional sources of capital, like banks or investors.

17.18 SOME USEFUL BOOKS

Annual Report (various issues) of RBI, SIDBI, IFCI, NHB, PFC, REC, TFCI, and IL&FS.

Bhole, L M and '*Financial Institution and Markets*', 6th edition, Jitendra Mahakud (2017): Tata McGraw-Hill Education Pvt. Ltd., New Delhi

Gurusamy, S. (2009): Financial Services and Markets, Thomson, New Delhi.

Khan, M Y (2017): '*Indian Financial System*', 10th edition, Tata McGraw-Hill Education Pvt. Ltd., New Delhi

Neelima, K M and Non-Banking Finance Companies in India's Anand Kumar (2017): Financial Landscape, *RBI Bulletin*, October

Sharma, KC (2013): *Life Insurance in India Principles and Practices*, Regal Publication, New Delhi

17.19 ANSWER/HINTS TO CHECK YOUR PROGRESS EXERCISES

Check Your Progress 1

- 1) Recognise and fill the gaps in institutions and markets in the financial sector, transfer funds from the surplus to the deficit sectors in the economy, ensuring the flow of finance in desired directions and in particular to priority areas of development.
- 2) Direct finance, Indirect finance, discounting and rediscounting bills.

- 3) Expanding marketing channels, services like factoring, leasing etc, for customised loans etc.

Check Your Progress 2

- 1) Extends funded and non-funded facilities for overseas turnkey projects, and financier and provides funded and non-funded support for project export contracts of Indian Entities, and financier and provides funded and non-funded support for project export contracts of Indian Entities.
- 2) Lines of Credit (LOCs)
- 3) Credit function, development function, and promotional function.

Check Your Progress 3

- 1) Refer to Section 17.8
- 2) To register and supervise HFCs. It also provides refinance to HFCs, SCBs, RRBs and cooperative sector institutions for housing loans and directly lends (project finance) to borrowers in the public and private sectors to extend financial support to the housing programmes for the unserved and under-served segments of the population.
- 3) Creation of tourism infrastructure, financial assistance.

Check Your Progress 4

- 1) Advancement of capital markets, providing finance to companies and governments and bringing forward the mechanisms for corporate control and risk management.
- 2) Regulate and develop the insurance industry, and promote competition.
- 3) Equity Mutual Funds, Debt Mutual Funds, Hybrid Mutual Funds, Solution-oriented Mutual Funds.

17.20 TERMINAL QUESTIONS

- 1) Describe the working of sector-specific financial institutions in meeting the requirements of finance of the concerned sector.
- 2) “SIDBI’s nature and scope increased with time”. Explain. What are financial schemes for the MSMEs sector?
- 3) Critically examine the financing function of NABARD. What are its promotional activities?
- 4) “In the field of international trade EXIM Bank has been playing a very critical role in promoting India’s exports”. Justify this statement.
- 5) Examine the role of infrastructure financing institutions in providing finance to the sector.
- 6) Analyse the nature and functions of investment institutions in India.